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Sale of goods I: definitions and sources of law

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ distinguish a sale of goods from other transactions
- ✓ recognize when sales law applies
- ✓ identify the appropriate sources of law
- ✓ know the difference between contracts for sale, sales and agreements to sell
- ✓ understand the concepts of 'existing goods', 'future goods', 'specific goods', 'unascertained goods' and 'ascertained goods'
- ✓ recognize the difference between business-to-business and business-to-consumer, consumer-to-business and consumer-to-consumer sales and understand why the differences matter

1. INTRODUCTION

As we said in Chapter 1, this book is concerned essentially with the process of selling (and incidentally hiring) goods, storing and transporting them, insuring them, getting paid for them and resolving disputes about these things. In Chapter 2 we learned how sales (and other) contracts might be made through third parties and saw the importance of the law enabling parties to do this. In the next four chapters our aim is to cover the main principles of the law of sales itself: how and when does a sale occur? On what terms? How and when does the buyer become owner of the goods? Whose responsibility is, for example, transport to the buyer? Who is responsible if the goods are destroyed or stolen? What rights does a disappointed buyer have? What rights does an unpaid seller have?

2. DEFINITIONS

As you might expect, to have a 'sale of goods contract' one needs a transaction to be a contract (we assume you know all about this from having studied contract law); it needs to be a 'sale' by nature; and the subject matter of the transaction must be 'goods'. This is obvious and simple, but the law, of course, is a bit more specific and technical than we might be in our ordinary thinking and speaking.

2.1 Goods

First, what are 'goods'? (We always use the plural, by the way – your copy of this book is 'goods', not 'a good'.) Section 61 of the Sale of Goods Act 1979 (much more about this below) defines 'goods' as including

> … all personal chattels other than things in action and money, and in Scotland all corporeal moveables except money; and in particular 'goods' includes emblements, industrial growing crops, and things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale …

Because the definition only covers personal chattels, it does not cover land – as this is real property – and that includes a lease or tenancy of land, which is a 'chattel real', not a personal chattel.

'Things in action' means a legal right to sue someone for something. So, for instance, shares in a company or bonds (a form of security for lending) are 'things in action' (often called 'choses in action', from the French *chose*, meaning 'thing'). You wouldn't usually think of, say, a share certificate, or a contract assigning you the right to receive a payment from someone, as 'goods'. Goods refers to something physical, not just a bundle of legal rights. (The document itself might be goods, however – for instance, there are people who collect old financial and legal documents and buy things like share certificates for the sake of the bit of paper itself, not the rights that went with it. In this case the paperwork counts as goods, every bit as much as a packet of writing paper is goods.)

Emblements are rights to the profits of crops that have been actually sown or cultivated – barley or wheat, for example, as opposed to grass which is just growing. (However, grass might be sown…) 'Industrial growing crops' means the actual crops themselves, rather than the profits of them. See, for example, *Inland Revenue Commissioners v. Smyth* [1914] 3 KB 406.

The reference to things attached to or forming part of the land means what it says. An example might be a heavy statue. Normally, this would probably be regarded as part of the land itself (and therefore included in a sale of the property). But if parties agree to detach it from the land, then it can be goods. Similarly, stone in a quarry is part of the land, but once it has been cut or blown out it becomes goods. If the parties agree in advance that it will be cut out and sold to one of them by the other, then the contract of sale counts as a contract for sale of goods even before the stone has actually been quarried. An example of the margins would be standing timber, which may not amount to industrial growing crops, and would in that case be another example of goods to be severed from the land prior to sale: *Hood Barrs v. Inland Revenue Commissioners* [1957] 1 All ER 832.

2.2 Sale

The fundamental purpose of a sale is to transfer ownership of something from one person to another. So, one element in the definition of sale is that it involves the transfer of property from one person, 'the seller', to another person, 'the buyer'. It is not necessary, however, for

the seller to be the owner of goods at the time of making a contract of sale. The seller, say, a shop, might agree to sell to the buyer a dishwasher, with the intention of buying a dishwasher from a wholesaler in order to fulfil its contract with the buyer. What matters is that when the time comes for the buyer to take possession of the dishwasher, the seller has the right to sell it. (This thing about having the right to sell the goods can be found in s.12 of the Sale of Goods Act 1979, and we will discuss it in detail later on.) Also, it is important to note that the transaction must be intended to pass ownership ('the general property in the goods' – more about this later). If it is a loan of the goods or hiring of the goods, then it is not a sale but a bailment. Bailments are discussed in Chapters 8 and 9. Some transactions have a mixed nature. Goods might be sold on hire purchase, where the contract is for hire until the customer has paid the very last hire payment, at which point it turns into a sale.

A sale must also be for a money consideration. If I 'sell' you my iPad in exchange for your laptop, that is not a sale in law; it is barter rather than sale. However, not all of the consideration has to be money. You will doubtless remember from your contract law studies the case of *Chappell & Co Ltd v. Nestlé Co Ltd* [1960] AC 87, in which part of the consideration was money (1s/6d) and part was wrappers from a particular sort of chocolate bar. The transfer of the record was still a sale despite part of the consideration being something other than money. (Two of the five members of the House of Lords dissented as to whether the wrappers were part of the consideration. Viscount Simonds and Lord Keith of Avonholm held that the money was the entire consideration while the wrappers were a qualification to enter the transaction. But the majority held that the wrappers were part of the consideration.) The point was not even argued over in *Aldridge v. Johnson* (1857) 7 E & B 885 – an agreement to sell 52 bullocks in exchange for 100 quarters (one and a quarter tons) of barley with the difference in market value to be made up in money was treated without argument as a sale of goods (the case turned on another point entirely, namely the passing of property by separation from a greater bulk).

A sale consists of the transfer of ownership from seller to buyer in exchange for a money consideration (or at least part-money consideration), which is known as 'the price'.

You can now distinguish a sale of goods from other transactions – sales of things that are not goods and transactions involving goods which are not sales. Since sales law applies to sales of goods (and nothing else), you also know when sales law applies!

3. SOURCES OF LAW

Sales of goods are governed mainly by two pieces of legislation, plus the explanatory case law. The two main pieces of legislation are the Sale of Goods Act 1979 (as amended) and the Consumer Rights Act 2015. This book's focus is on business-to-business transactions, rather

than the world of consumer transactions. Consumer law is a complex and extensive field of law in its own right. So, we will mainly be dealing with the Sale of Goods Act, but making limited references to the Consumer Rights Act by way of comparison and distinction. We will not be dealing with the enormous range of rules and regulations that surround consumer transactions. We will refer to the Sale of Goods Act 1979 as 'SGA' and the Consumer Rights Act 2015 as 'CRA'.

First, a little history, so that you can understand where our statutory scheme has come from and why it is the way it is. For hundreds of years, sales of goods law was all found in the law reports, with an admixture of statutes, starting with the Assize of Bread and Ale of 1266, on individual issues such as the weight of a standard loaf of bread (according to the Bread Act 1822, the standard 'quartern loaf' had to be four pounds and 15 ounces before baking, if sold within ten miles of the Royal Exchange in the City of London) and the mix of grain that could go into it.

The traditional pattern of legislation was what might be called consumer protection provisions, typically dealing with weights and measures, adulteration of food and so on. The common law, meanwhile, gradually developed implied terms on a range of matters, mainly to the benefit of buyers, such as an implied term that the seller warrants that he has the right to sell the goods in question, which came about through restricting the doctrine of *caveat emptor* ('let the buyer beware') to the condition of goods, not the title of the seller: see *Allen v. Hopkins* (1844) 13 M & W 94 per Pollock CB at 103. It was put on the basis of an implied term by Parke B, giving the judgment of the Court of Exchequer Chamber in the case of *Morley v. Attenborough* (1848) 3 Exch 500. The implied term that goods must be of an appropriate quality was certainly recognized by the early nineteenth century: see, for example, *Laing v. Fidgeon* (1815) 6 Taunt 108 and *Jones v. Bright* (1825) 5 Bing 533.

These common law implications and other common law rules were codified in the Sale of Goods Act 1893, which was drafted on the mixed basis of looking at the case law to see what the law already clearly did and in other instances asking business people what they generally expected to happen in any given situation. (This approach was hailed as extremely modern and innovative when taken by Karl Llewellyn in drafting the Uniform Contract Code in the United States in the 1940s and 1950s!)

The Sale of Goods Act 1893 proved a really robust and successful piece of legislation. Over time the courts refined their interpretation and application of it, and commercial circumstances changed, and it was finally replaced by the SGA 1979. You can find both Acts online quite easily. If you compare them you will see that they are strikingly similar, showing the enduring value of the work of the 1890s. Although the 1893 Act has been repealed and replaced, it is important to be aware of it because many of the cases to which we refer today were decided under the old Act – understanding the differences and similarities between the two Acts may be important in advising in a particular case.

The SGA 1979 has also been amended since it was first passed. We will refer to the amendments when we get to the relevant points.

Finally, textbooks are not, of course, a 'source of law' as such. But they are very helpful to the lawyer in researching the law on any given point. The leading specialist textbooks on sale of goods law are *Benjamin's Sale of Goods* (currently in its tenth edition and the gold standard

for practitioners) and Atiyah and Adams' *Sale of Goods* (currently in its 13th edition). As *Benjamin* costs well over £600, we suggest you consult it in the library if you need to research a detailed assignment on sales!

The principal sources of sale of goods law today are the Sale of Goods Act 1979, the Consumer Rights Act 2015 and extensive case law. But the foundation of a sale is a contract, so don't forget what you learned studying contract law. Also, don't forget that the 1893 Act applied in a lot of the case law we still use – so take care when applying cases now which were governed by different legislation when they were decided.

You can now identify the principal sources of law relating to the sale of goods

4. CONTRACTS OF SALE, SALES AND AGREEMENTS TO SELL

We have already touched on an aspect of this, in defining 'sale' (2.2, above). Section 2 SGA 1979 provides where relevant:

KEY STATUTORY PROVISION
SALE OF GOODS ACT 1979, S.2

(1) A contract of sale of goods is a contract by which the seller transfers or agrees to transfer the property in goods to the buyer for a money consideration, called the price.

...

(4) Where under a contract of sale the property in the goods is transferred from the seller to the buyer the contract is called a sale.

(5) Where under a contract of sale the transfer of the property in the goods is to take place at a future time or subject to some condition later to be fulfilled the contract is called an agreement to sell.

(6) An agreement to sell becomes a sale when the time elapses or the conditions are fulfilled subject to which the property in the goods is to be transferred.

A contract of sale may be a sale or it may not. If ownership of the goods is actually transferred at the time the contract is made, then it is a sale. But if the contract contemplates that ownership will pass at some later point, then the contract is called an 'agreement to sell'. Both are contracts of sale, but only the sale actually has the effect of shifting property in the goods from the seller to the buyer, which may be a very important point in the event of some breach of the contract (for example, the buyer failing to pay), because: (i) it affects the remedies of

the seller; and (ii) it affects the rights of third parties (if any), for example where the goods have been sold on to someone else by the buyer who is in breach of contract. We will look at the question of 'property' and 'ownership' in detail in Chapter 5, when we consider the duties of the seller of goods, and in Chapter 6 on passing of property, and we shall look at remedies in Chapter 7. For the time being, however, it is enough to think of ownership in common-sense, everyday terms.

An obvious example of a sale is going into a shop and buying, say, a watch. The customer expects to take the watch away with him/her, and payment may either be made on the spot or be due later, perhaps by instalments (though these days if the transaction is on credit there will probably be a separate contract with a retail credit provider). Either way, it is a sale – the watch is handed over to its new owner.

An equally obvious example of an agreement to sell might be company A making a contract at a trade fair to buy a machine from company B. Or, say, a customer placing an order for a new car at a dealership. The anticipation is that in due course the goods will be delivered but ownership will not pass from seller to buyer until that time (or even after).

Another important consequence of the distinction between the contracts is that there are statutory implied terms in sales of goods. One of these is that the seller has the right to sell the goods. Under a sale, if the seller does not have the right to sell the goods when the contract is made, this is a breach of the implied term, which is a condition. Under an agreement to sell, the implied term takes effect as a condition that the seller will have the right to sell the goods when the time comes to transfer ownership of the goods.

'Sales' and 'agreements to sell' are both species of 'contracts of sale'. The difference is that which one of these the contract of sale is may affect remedies.

You now know the difference between 'contracts of sale', 'sales' and 'agreements to sell'

5. LEGAL CATEGORIES OF GOODS

In this section we look at how the law of sales categorizes goods into 'existing goods', 'future goods', 'specific goods', 'unascertained goods' and 'ascertained goods'. The law does this because it differentiates between them when determining when or whether ownership has passed. Of course, there are other categorizations for other purposes: for instance, some goods are categorized as 'perishables', in which case a buyer's obligations and a seller's rights differ in some respects. Special rules also apply to livestock, for instance. We will look at this in Chapter 5. For now, we will content ourselves with the four categories listed above.

5.1 Existing Goods

Existing goods are goods that already exist (obviously!) at the time the contract is made and are 'owned or possessed by the seller' (SGA 1979, s.5(1)). They need to be owned or possessed by the seller so that there is at the time some identifiable property that the seller can sell to the buyer. The obligation for the seller to have a property in the goods will be discussed in Chapter 5. Suppose I go into a second-hand car dealership and contract to buy a Fiat 126 Spyder, registration number XYZ 123, that the dealer has in his showroom and has bought from an auction: that is an example of existing goods (it is also 'specific goods', but we shall come to that shortly).

5.2 Future Goods

The same subsection (SGA 1979, s.5(1)) distinguishes existing goods from goods that either have yet to be manufactured at the time of the contract or which do already exist at that point but are not in the ownership or possession of the seller. These latter are called 'future goods'. For example, Richard and Kayode make a contract in June that Richard will sell to Kayode, for delivery in September, 1,000 umbrellas. If Richard already has 1,000 umbrellas and these particular umbrellas have been agreed upon as being the subject matter of the contract, then these are existing goods. If, on the other hand, Richard needs to buy in, or make, umbrellas between June and September in order to supply Kayode, then these are future goods. They are not goods which Richard can sell at the time the contract is made, because either they do not yet exist or else they have not yet been acquired by Richard so that he has the right to sell them – he cannot sell other people's goods, unless he is acting as their agent (see Chapters 2 and 3).

The next subsection of the Act is important in that if the contract 'purports to effect a present sale of future goods, the contract operates as an agreement to sell the goods' (SGA 1979, s.5(2)).

5.3 Specific Goods

Specific goods are defined in SGA 1979, s.61 as 'goods identified and agreed upon at the time a contract of sale is made'. This really just means what it says and is simple. An obvious example might be a Chippendale dining table in an antique dealer's shop. We certainly hope the dealer has not got a whole stack of identical tables! When a customer enters into negotiations to buy the table, it is clear that the parties are talking not about 'a table just like this', but quite specifically about *this* table and no other.

It also follows that sales of specific goods are likely to be sales of existing goods. This is because it would be hard to agree upon and identify the actual physical goods in question (in order for them to be specific goods) if they do not exist. However, it is perfectly possible to have a contract for the sale of specific goods even though they are future goods. For example, Mukarrum may promise to sell the original *Mona Lisa* by Leonardo DaVinci, currently in the Louvre, to George. The goods are future goods, because Mukarrum does not own or possess

the painting when the contract is made – he must acquire it in order to carry out the contract. But the contract is perfectly possible, legally speaking.

The authors of Atiyah's *The Sale of* Goods cite the case of *Howell v. Coupland* (1876) 1 QBD 258.[1] They say that it was held in this case that a contract to sell 200 tons of potatoes, even though they did not exist at the time of the contract, was nevertheless a sale of specific goods. However, with respect, this is to misunderstand the case. The Court of Appeal (upholding the Court of Queen's Bench) held that the contract was for a specific commitment – potatoes grown on a particular plot of land in a particular season – but not that the goods were specific goods. What happened was that the parties (Howell, the buyer, was a potato merchant; Coupland, the seller, was a farmer) made a contract in March 1872 for the sale of 200 tons of Regent potatoes to be grown on a 68-acre area of land in Whaplode, Lincolnshire and delivered in September and/or October at the buyer's order.

Twenty-five acres of the land had already been sown with potatoes, while the remaining 43 acres had been readied for sowing, but as yet there were no actual potatoes. In the ordinary course of things, the land should have produced about 476 tons of potatoes. However, due to potato blight (which could not by any effort or skill of the farmer have been prevented) during the summer, most of the crop failed and only 80 tons were delivered. Howell sued for breach of contract because 120 tons had not been supplied as promised. Coupland's defence was that the contract was frustrated by the intervention of blight. The argument for Howell was that it was simply a contract for 200 tons of Regent potatoes grown at Whaplode (which was apparently famous for the quality of its potatoes) and since Coupland had not delivered he was liable to make good his failure in damages. Coupland's argument, which was eventually accepted by the Court of Queen's Bench and then by the Court of Appeal, was that the contract was for potatoes from a specific crop, namely that grown on a particular area of land within Whaplode, owned by the defendant. It was not for any old potatoes from Whaplode. When this particular crop was ruined by disease, that was a case of the subject matter of the contract being destroyed by circumstances outside the control of the defendant and the contract was therefore frustrated on the principle of *Taylor v. Caldwell* (1863) 3 B & S 826; 122 ER 309, which you will remember from your contract studies. In the Court of Queen's Bench, Blackburn J said that

> … it is a contract for the delivery at a future time of a specific thing, so far as this, that it is for the delivery of a portion of a specific thing. It is just like the case of a contract for the purchase of 10 or 100 tons of a cargo of goods out of a particular ship to arrive, which must be so many tons out of the bulk on board the ship named. It is true the precise number of acres sown or to be sown was not mentioned; but the contract is made definite by the mention of land belonging to the defendant in a particular place, making it a contract for 200 tons of the particular crop to be grown on those fields. ((1874) LR 9 QB 462 at 465)

[1] PS Atiyah et al, *The Sale of Goods* (10th edn, Longman 2001).

That is very close to saying the potatoes were specific goods, but it is not quite the same thing. Consider the sale of ten tons of wheat from a ship carrying one hundred tons of wheat. We would know the ship and therefore also know whether it had, for instance, sunk, leaving the contract impossible to perform. What we do not know is which ten tons is the wheat in our contract. What we have here is a case of unascertained goods, which when goods meeting their description are appropriated to fulfil the particular contract become ascertained goods. If there were 476 tons of potatoes of which 200 tons were to be the subject matter of the contract, suppose a ton were stolen between harvesting and delivery. How would we know whose ton of potatoes that was? If the goods are specific then they are identified and agreed upon at the time the contract is made. These potatoes would be unidentifiable even when they had been harvested, let alone at the time the contract was made. The difference will become even plainer below and is a very important one, since different rules potentially apply to passing of property and different remedies may be applicable, too.

5.4 Unascertained Goods and Ascertained Goods

Unascertained goods are any goods *not* identified or agreed upon at the time the contract of sale is made. For example, if you choose a sofa in a department store and wish to buy it, the likelihood is that you will place an order with the store and they will deliver a sofa just like the one you have chosen, but not that actual physical sofa you have just bounced up and down on to judge the comfort of. The sofa you will be getting will come from a warehouse somewhere, or may not even have been made yet. So, unless you are buying the actual one there on the spot – perhaps the one on display is the very last of the line and they agree to sell it to you – you are not buying specific goods. You are buying goods of a particular description, but the actual atoms of sofa that are to become yours have not yet been selected. *Your* sofa is unascertained goods until the point at which the store or someone acting on their behalf makes an unconditional appropriation of that sofa to your contract. At this point the sofa becomes *ascertained goods*, but still not specific goods. This is because, as we have seen, specific goods must be identified and agreed upon at the time the contact is made, and if they have to be identified later to appropriate them to the contract then clearly they were not identified at the time the contract was made and are *by definition* not specific goods. There are various ways in which goods might become ascertained and unconditional appropriation might occur; we will come to these in Chapter 6.

☞ **Goods are either specific or unascertained at the time the contract is made. If they are unascertained when the contract is made, they will become ascertained in the process of performance. Goods that are unascertained become ascertained goods, NEVER specific goods.**

✓ **You should now understand the concepts of existing goods, future goods, specific goods, ascertained goods and unascertained goods**

6. THE PARTIES

The parties to a contract for the sale of goods, whether it is a contract of sale or an agreement to sell, are of course the buyer and the seller. But who the buyer and seller are can make a great deal of difference to the applicable law. The distinctions we need to draw are between contracts which can be characterized as:

- Business-to-business (often called B2B).
- Business-to-consumer (B2C).
- Consumer-to-consumer (C2C).
- Consumer-to-business (C2B).

In all these cases, except for the business-to-consumer sale (and sometimes even then), the Sale of Goods Act 1979 applies as the principal piece of legislation. However, when a business is in the business of selling goods of a particular type to consumers, and sells such goods, then this will generally be covered by the Consumer Rights Act 2015. For example: you go into a supermarket and buy a bottle of wine. Here, the supermarket is in the business of selling, among other things, wine to the consumer. However, if the supermarket were getting rid of its old warehouse shelving and some of this were bought by an ordinary member of the public, who would usually be regarded as a consumer, this is not covered by the CRA 2015. The CRA 2015 is intended to cover transactions between a trader and a consumer in the ordinary way of trade.

Of course, the definitions of 'trader' and 'consumer' are very important ones, so that we can tell whether the transaction is covered by the CRA 2015 or by ordinary sale of goods law.

KEY STATUTORY PROVISION
CONSUMER RIGHTS ACT 2015, S.2

2 KEY DEFINITIONS

(1) These definitions apply in this Part (as well as the definitions in section 59).

(2) 'Trader' means a person acting for purposes relating to that person's trade, business, craft or profession, whether acting personally or through another person acting in the trader's name or on the trader's behalf.

(3) 'Consumer' means an individual acting for purposes that are wholly or mainly outside that individual's trade, business, craft or profession.

(4) A trader claiming that an individual was not acting for purposes wholly or mainly outside the individual's trade, business, craft or profession must prove it.

(5) For the purposes of Chapter 2, except to the extent mentioned in subsection (6), a person is not a consumer in relation to a sales contract if—

(a) the goods are second hand goods sold at public auction, and

(b) individuals have the opportunity of attending the sale in person.

(6) A person is a consumer in relation to such a contract for the purposes of—
(a) sections 11(4) and (5), 12, 28 and 29, and
(b) the other provisions of Chapter 2 as they apply in relation to those sections.
(7) 'Business' includes the activities of any government department or local or public authority.
...

Subsections (2) and (3) are the most important for our purposes here and raise interesting questions. In *Stevenson v. Rogers* [1999] 1 All ER 613, it was held that a fisherman who sold his fishing boat with a view to buying another one dealt 'in the course of business' for the purposes of imposing the implied term as to 'merchantable quality' (nowadays 'satisfactory quality') in SGA 1979 s.14(2). Buying and selling vessels was not part of the seller's trade as such – he was in the business of fishing rather than the business of buying and selling fishing boats – but nevertheless the sale formed part of his business arrangements and the court took the view that a broad view was intended to be taken of what was in the course of business, into which the transactions, though incidental to his ostensible and main business activity, fitted.

It is not all that easy to reconcile *Stevenson v. Rogers* with the slightly earlier case of *R & B Customs Brokers Ltd v. United Dominions Trust Ltd* [1988] 1 All ER 847.

KEY CASE
R & B CUSTOMS BROKERS LTD V. UNITED DOMINIONS TRUST LTD (SAUNDERS ABBOTT (1980) LTD, THIRD PARTY) [1988] 1 ALL ER 847

This case involved the purchase on credit terms of a used Colt (after 1984 these were called Mitsubishi in the UK) Shogun 4x4 car. The buyers were a firm of export agents and freight-forwarders. The car was for the incidental use of the directors, who were a husband and wife. They had bought a couple of cars 'for the business' before. The most recent car had been a Volvo and Roy Bell (the husband) decided to trade it in for the Shogun. The cash price on the Shogun was £10,295. The dealer, Saunders Abbott (1980) Ltd, accepted the Volvo as part-exchange, giving a value of £5,645. This left £4,650 to be paid. Mr Bell raised this with United Dominions Trust, a finance firm, under the usual arrangement in which Saunders Abbott sold the car to United Dominion Trust who then sold it on a conditional contract to R & B Customs Brokers Ltd. Unbeknownst to the dealer, the car had a leaky roof and was not fit for the ordinary purpose of driving around in the United Kingdom (where it rains a lot). Putting aside the question of the applicability of s.14(3) rather than s.14(2) SGA 1979 – again, more on this in subsequent chapters – the court held that the acquisition of cars on credit was not such a regular activity for R & B Customs that it counted as a business transaction for them. In effect, the court ruled, the company was a consumer in this transaction. Therefore, clause 2(a) of their contract with United Dominions Trust, which purported to exclude implied terms under s.14 SGA 1979, was a nullity because it is prohibited under s.6 of the Unfair Contract Terms Act 1977 to exclude the s.14 SGA 1979 implied term where the sale is to a consumer.

It is not easy, as we have said, to reconcile these cases. No doubt if one looks at them from a purely common-sense point of view, the distinctions are fairly obvious. The boat in *Stevenson* was a genuine part of the trading equipment of the business and selling these on might easily be seen as part of the ordinary course of business. On the other hand, the car was really being bought by Mr and Mrs Bell for their own purposes and was no doubt put through the business as a standard tax efficiency. They were not car dealers and relied on Saunders Abbott's expertise. As pure law goes, however…

It may be argued that these cases are really restricted to the effects of s.6 UCTA 1977. But it remains to be seen whether the courts will take a similar approach, or in any way rely on these cases, in determining whether a party acts as a trader or as a consumer (or, in either case, not) under CRA 2015. This is critical because we have to know whether or not the CRA 2015 is applicable in borderline cases.

What we can say is that when one 'consumer' sells to another – for example, Kayode gets bored of his Range Rover and sells it to George – CRA 2015 does not apply, while SGA 1979 does. Similarly, business-to-business transactions are not affected by CRA 2015, unless one of the businesses can be claimed to act as a consumer. Where a consumer sells to a business – for example, I sell my car to a used car dealership – this would not seem to be covered by CRA 2015. However, if I sell it as part of a wider transaction under which I acquire a car from the dealership (a part-exchange, in other words), I will be a consumer for the purpose of that aspect of the transaction in which I act as a purchaser.

In relation to sales of goods, the Consumer Rights Act 2015 ONLY applies where the buyer acts as a consumer and the seller acts as a trader (as defined in the Act).

You should now be able to recognize the difference between business-to-business (B2B), business-to-consumer (B2C), consumer-to-consumer (C2C) and consumer-to-business (C2B) transactions, and understand why this matters

5
Sale of goods II: duties of the parties

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ enumerate the duties of a seller under SGA 1979
- ✓ explain the duties of a buyer under SGA 1979
- ✓ identify where a sale is governed by the Consumer Rights Act 2015 rather than SGA 1979

1. INTRODUCTION

Having discussed the nature of the contract of sale of goods in Chapter 4, where we also got to grips with the essential definitions and terminology and the sources of law, we turn now to look at the duties of the two principals to a sales contract, the seller and the buyer. Because our system of law in England and Wales accepts a very broad idea of freedom of contract, it is obviously not possible to state in any textbook what the duties are for every sell and buyer: *they* make the contract, and *they* set the terms. There are very few mandatory requirements. An example of one is what is often called (and we call it that in this book, too, even though it's not strictly accurate) the 'duty to pass a good title'. This is an implied term in sales contracts by virtue of s.12 Sale of Goods Act 1979 (SGA 1979), previously s.12 Sale of Goods Act 1893. It became impossible to resile from this duty after the passage of the Unfair Contract Terms Act 1977 (UCTA 1977). For B2C contracts, there is a corresponding mandatory duty in the Consumer Rights Act 2015. Indeed, the scope of mandatory terms or duties has been expanded by that Act, but only as regards B2C contracts.

By and large, sales law in England and Wales (especially in B2B contracts) implements the parties' agreement and provides default rules wherever the parties have not explicitly or implicitly chosen some other rule. So, for instance, s.14 SGA 1979 implies a term that the goods will be of satisfactory quality. The parties can have a different, express term of their own in place of this. If their agreement departs from this as a minimum standard, however, s.6(1A)(a) UCTA 1977 requires the exclusion of the duty to supply goods of satisfactory quality to meet the test of reasonableness in s.11.

2. THE SELLER'S DUTIES

Sales of goods fall into three main categories – simple sales, sales by description and sales by sample. Any given sale may also involve a combination of these. The duties of the seller will vary depending on the type of sale, though there are duties that apply irrespective.

The duties that do not change according to the type of sale are:

- duty to deliver;
- duty to pass good title;
- duty to supply goods of the right quality;
- duty to supply goods in the right quantity;
- duty to supply goods at the right time.

We will deal first with these general duties, before looking at duties specific to contracts for sale by description and sale by sample.

2.1 The Duty to Deliver

> **SGA 1979 s.27**: 'It is the duty of the seller to deliver the goods, and of the buyer to accept and pay for them, in accordance with the terms of the contract of sale.'

This does not mean that the seller has a duty to deliver the goods in the popular sense of coming round with them in a van. The legal meaning of 'delivery' in the sales context is a voluntary transfer of possession. The question of whether a seller needs actually to send the goods to the buyer or whether the buyer must collect them is dealt with in s.29 SGA 1979, and the default position, where no other provision is made, is that the buyer must collect them from the seller's place of business, unless the sale is of specific goods and they are known by both parties to be in some other place at the time the contract is made, in which case the default is that the buyer collect them from that place.

2.2 The Duty to Pass Good Title

This is really a misnomer, but it is a common one and it is used by Atiyah's *Sale of Goods*, one of the leading specialist works, so we will stick with it here. The reason it is a misnomer will be apparent shortly. The key is in the fact that a good title is said to be 'good against the world'. A sale of goods may involve conferring a more limited right on the buyer: a right that can be enforced against the seller, but not against anyone else with a superior claim to ownership.

KEY STATUTORY PROVISION
SALE OF GOODS ACT 1979, S.12

(1) In a contract of sale, other than one to which subsection (3) below applies, there is an implied term on the part of the seller that in the case of a sale he has a right to sell the goods, and in the case of an agreement to sell he will have such a right at the time when the property is to pass.

(2) In a contract of sale, other than one to which subsection (3) below applies, there is also an implied term that—

(a) the goods are free, and will remain free until the time when the property is to pass, from any charge or encumbrance not disclosed or known to the buyer before the contract is made, and

(b) the buyer will enjoy quiet possession of the goods except so far as it may be disturbed by the owner or other person entitled to the benefit of any charge or encumbrance so disclosed or known.

(3) This subsection applies to a contract of sale in the case of which there appears from the contract or is to be inferred from its circumstances an intention that the seller should transfer only such title as he or a third person may have.

This does not actually provide that the seller has title, merely that he has a 'right to sell', but this should be read in the light of s.2(1) stating that 'a contract for the sale of goods is a contract by which the seller transfers or agrees to transfer the property in goods to the buyer' and s.61 which defines property as 'the general property in goods and not merely a special property'. So, a seller who does not have the right to transfer the general property in goods to the buyer does not have the right to sell them and would be in breach of the implied term in s.12(1). The seller need not have an unencumbered title, but s.12(2) provides an implied term that the goods are free of such, unless disclosed, and that neither the seller nor some other person claiming to be entitled to the benefit of any charge or encumbrance, if one is disclosed, will interfere with the buyer's quiet enjoyment of the goods.

It is not entirely straightforward. For instance, someone may have been empowered to sell goods belonging to another, as in an undisclosed agency. Also, we might contract to sell goods we do not yet own, but will acquire in time to deliver. Finally, we might, as Mustill J observed in *Karlshamns Oljefabriker v. Eastport Navigation Corp* [1982] 1 All ER 208 at 215, have a case where the seller arranges a direct transfer of property from the existing owner to the buyer, without the goods ever belonging to the seller even for a moment.

Although s.12 is far from self-explanatory, the actual application of the section in terms of the duty it imposes on the seller is not really problematic. It throws up some strange consequences when it comes to remedies for breach of the term it implies. We will look at these in due course, in Chapter 7.

2.3 The Duty to Supply Goods of the Right Quality

Section 14 SGA 1979 implies into every sale contract (except those covered by the Consumer Rights Act 2015) where the seller sells in the course of business an obligation on the seller to

supply goods of 'satisfactory quality' (originally 'merchantable quality', which is an important difference, and means that we have to be careful in dealing with pre-1995 cases on quality, to be sure of their applicability). This includes fitness for purpose, freedom from minor defects, durability and so on, but is conditioned upon the price of the goods – that is to say that what is or is not satisfactory will depend on, among other things, how expensive the goods are. So, what is satisfactory quality in a £9,000 hatchback might not be satisfactory in a £90,000 Range Rover, for example. However, the implied term does not extend to matters rendering the goods unsatisfactory which were brought to the buyer's attention before the contract is made or which ought to have been apparent on an inspection of the goods by the buyer **and when the buyer did actually examine the goods** before purchase: s.14(2C).

KEY STATUTORY PROVISION
SALE OF GOODS ACT 1979, S.14

(1) Except as provided by this section and section 15 below and subject to any other enactment, there is no implied term about the quality or fitness for any particular purpose of goods supplied under a contract of sale.

(2) Where the seller sells goods in the course of a business, there is an implied term that the goods supplied under the contract are of satisfactory quality.

(2A) For the purposes of this Act, goods are of satisfactory quality if they meet the standard that a reasonable person would regard as satisfactory, taking account of any description of the goods, the price (if relevant) and all the other relevant circumstances.

(2B) For the purposes of this Act, the quality of goods includes their state and condition and the following (among others) are in appropriate cases aspects of the quality of goods—

(a) fitness for all the purposes for which goods of the kind in question are commonly supplied,

(b) appearance and finish,

(c) freedom from minor defects,

(d) safety, and

(e) durability.

(2C) The term implied by subsection (2) above does not extend to any matter making the quality of goods unsatisfactory—

(a) which is specifically drawn to the buyer's attention before the contract is made,

(b) where the buyer examines the goods before the contract is made, which that examination ought to reveal, or

(c) in the case of a contract for sale by sample, which would have been apparent on a reasonable examination of the sample.

(3) Where the seller sells goods in the course of a business and the buyer, expressly or by implication, makes known—

(a) to the seller, or

(b) where the purchase price or part of it is payable by instalments and the goods were previously sold by a credit-broker to the seller, to that credit-broker, any particular purpose for which the goods are being bought

there is an implied term that the goods supplied under the contract are reasonably fit for that purpose, whether or not that is a purpose for which such goods are commonly supplied, except where the circumstances show that the buyer does not rely, or that it is unreasonable for him to rely, on the skill or judgment of the seller or credit-broker.

(4) An implied term about quality or fitness for a particular purpose may be annexed to a contract of sale by usage.

[...]

And by virtue of s.14(6), in England and Wales these terms are conditions.

The terms implied by s.14 SGA 1979 are probably the best known of all implied terms. Since 2015, in cases where a trader sells to a consumer they have been replaced by the provisions of s.9 of the Consumer Rights Act 2015, but for B2B sales they still apply.

It is possible to go into a great deal of detail about this section, discussing all the old cases on 'merchantable quality' – the forerunner of 'satisfactory quality' – as well as analysing other aspects in detail. We do not propose to do that here. Nor will we attempt a line-by-line analysis – you can get this level of detail in, for instance, *Benjamin's Sale of Goods*, which is the practitioner's go-to work on sales. There are, however, some fundamental points that we think need to be made.

The first is that this section **only** applies where the sale is in the course of a business. A C2C or C2B sale is not affected. But it might also be thought that it could mean that sales by a business that are purely incidental to their business could fall outside the provisions of this section. This concern was put to rest in *Stevenson v. Rogers* [1999] QB 1028, in which the Court of Appeal held that the sale by a fisherman of his only boat (he then bought a replacement vessel for his business) *was* a sale in the course of business, in spite of the fact that his business was being a fisherman, not buying and selling boats. This reversed the finding of the judge below, on a preliminary matter, who had held that the sale had to relate to the business carried on by the seller. The Court of Appeal held that parliament's purpose in this subsection was to exclude purely private transactions from the ambit of s.14, and that the wording should not lead the courts to considering fine distinctions between different business transactions. So, if the seller is a business and sells something in the course of that business, such as, say, a second-hand computer or surplus office furniture, or vehicles used in the business, that would be covered. The 'business' does not have to be a commercial or industrial undertaking, either. It could be a profession or, for instance, a school or a local authority. Lord Diplock said, in *Town Investments Ltd v. Department of the Environment* [1978] AC 359 at 383, that the term 'business' 'suits its meaning to the context in which it is found. It is not a term of legal art.' He went on to cite the dictum of Lindley LJ in *Rolls v. Miller* (1884) 27 ChD 71 at 88: 'The word means almost anything that is an occupation, as distinguished from a pleasure – anything which is an occupation or a duty which requires attention is a business…'.

The second point is that, as ever, context is king. Subsections 14(2A) and (2B) make it clear that matters such as description (more on this later in relation to the implied term that goods sold 'by description' will conform to the description – but 'description' here could include

such things as 'used' or 'seconds' or 'damaged stock', 'spares and repairs' or 'shop-soiled') and price affect whether goods are satisfactory as to their 'state and condition'. We have already mentioned that the price is a relevant consideration in some cases: we expect better paintwork on an expensive car than on a cheap and cheerful one, but we still expect the latter not to be scratched if it is new, while some scratches would be expected on either if they are second-hand.

The third important point is in relation to what is generally referred to as 'fitness for purpose'. This phrase has escaped from sales law into the language generally – we ask whether a government department is 'fit for purpose' or a policy on safeguarding is 'fit for purpose'. But the law means specific things, has meant slightly different things at different times, and means different things in different contexts. It also means something different in s.14(2B) than in s.14(3). Under s.14(2B) the goods must be 'fit for all purposes for which goods of the kind in question are commonly supplied'. This goes a bit further than the Act did when it was first passed, when goods only had to be fit for any one purpose for which such goods were commonly supplied. Obviously, there is some scope for interpretation even here: the court must decide whether the particular purpose for which the goods are alleged not to be fit is a purpose for which such goods are *commonly* supplied. On the whole, this is going to be a matter for common sense – what we should ordinarily think, rather than any special legal meaning. Under s.14(3), however, if goods are supplied for a particular purpose, which need not be a common purpose, then they must be fit for that purpose also, provided the buyer has relied on the seller's expertise. Again, this is not something where past judgments of appellate courts are really going to help: it is a matter of fact, for the judge to deduce from the evidence, including the circumstances, whether in the particular instance before the court the buyer has relied on the seller's expertise. However, this is subject to the requirement that the seller has, expressly or impliedly, let the seller know of such a particular purpose. So, in the case of *Henry Kendall & Sons v. William Lillico & Sons Ltd* [1969] 2 AC 31, it was held that the seller knew that the buyer would be using the goods (groundnut oil from Brazil) to make cattle and poultry foods for resale and therefore was liable when it turned out that the oil was poisonous to poultry, even though it was fine for cattle. This is similar to the case of *Ashington Piggeries Ltd v. Christopher Hill Ltd* [1972] AC 441, where herring meal was sold for use in making animal feeds for resale and it was held that the sellers could have foreseen that the feed might be given to mink, so it had to be fit for that purpose.

Finally, it is important to note that while some aspects of satisfactory quality in s.14(2B) evidently can affect the goods' fitness for purpose, there are other aspects that get a special mention because they do not necessarily affect the fitness for purpose. So, the references to 'appearance and finish' and 'minor defects' could cover, for example, a car that has some scratches to the paintwork and, say, non-functioning cruise control. The car is still fit for all the purposes a car has, but it is nonetheless not 'satisfactory' (though it might be if it is cheap and second-hand). Similarly, when we buy something we expect it to be safe to use for its purposes (all doctors know of examples of things which are commonly misused and not safe!). We also expect that the goods will last a reasonable length of time according to what they are, how we are going to use them and, again, price and description.

2.3.1 Fitness for Non-common Purposes

All of these, including fitness for common purposes, should be seen as part of the definition of 'satisfactory quality' for the purposes of the implied term in s.14(2A). Fitness for special purposes under s.14(3) is, however, something quite distinct and, as you can see from the wording, s.14(3) actually implies a separate term from that implied by s.14(2A). (It also follows from this that fitness for a special purpose under s.14(3) does not relieve the seller of the duty to supply goods fit for their ordinary purposes, as these are two separate implied terms.)

It is obvious that the application of s.14(3) depends on the particular facts of the case in question: either the evidence points to the requirements being met or it does not, and a common-sense approach is indicated. Generalities from reported cases are not really of assistance. The well-known case of *Bristol Tramways, Etc, Carriage Co Ltd v. Fiat Motors Ltd* [1910] 2 KB 831, although decided on the basis of the 1893 Act – which was slightly differently worded – does give some (very limited) help on 'impliedly' making known a particular purpose. In this case it was held that Fiat buses and bus chassis supplied to the plaintiff would need to be suitable for heavy traffic in a hilly location, even though this was not made explicit by the plaintiff.

2.3.2 Exceptions

As you can see from the wording of the section above, there are two exceptions to the requirement for the goods to be of satisfactory quality. (Do not mix these exceptions up with those aspects, such as description and price, which go to help determine what amounts to satisfactory quality – they are part of the definition, not exceptions to the scope of the implied term.) These are where defects are specifically drawn to the buyer's attention before the contract is made, and where the buyer has examined the goods and should have discovered whatever it is that is alleged to make the goods unsatisfactory. These are found in s.14(2C):

> (2C) The term implied by subsection (2) above does not extend to any matter making the quality of goods unsatisfactory—
> (a) which is specifically drawn to the buyer's attention before the contract is made,
> (b) where the buyer examines the goods before the contract is made, which that examination ought to reveal, or
> (c) in the case of a contract for sale by sample, which would have been apparent on a reasonable examination of the sample.

Section 14(2C)(a) is too straightforward to require any further explanation. Examination of the goods, however, does raise questions:

- What if the buyer could and should have inspected, but unreasonably chose not to?
- What if the buyer did inspect the goods but did so cursorily or ineptly and did not discover the defect?

The answer to the first is unproblematic. No inspection = no exception. The exception only applies where the buyer **does in fact** carry out some such inspection.

The answer to the second is a little more difficult. Under SGA 1893 it was clear that if any inspection was carried out at all, then the buyer could not complain about unmerchantable goods: *Thornett and Fehr v. Beers & Son* [1919] 1 KB 486. However, the wording at that time was 'defects which such examination ought to have revealed', whereas today's wording is 'which *that* examination ought to reveal'. The old wording seems to mean that if the seller inspects then the burden falls on them to ensure it is a proper inspection (provided they have been given the necessary time and facilities for a proper inspection). But the deliberate change in the wording to the current language seems clearly to mean that the nature and extent of the inspection that actually took place has to be considered. If *that* inspection would not be expected to reveal the defect, then the buyer can still sue on it. This does not seem unreasonable, because in the typical case the seller will be able to see whether the buyer has carried out a thorough inspection or just given the goods 'a quick once-over'. We will consider s.14(2C)(c) further when dealing with sales by sample.

2.4 The Duty to Supply Goods in the Right Quantity

This duty is found in s.30(1) and s.31(1) SGA 1979, as follows.

> **s.30(1)** Where the seller delivers to the buyer a quantity of goods less than he contracted to sell, the buyer may reject them, but if the buyer accepts the goods so delivered he must pay for them at the contract rate.

> **s.31(1)** Unless otherwise agreed, the buyer of goods is not bound to accept delivery thereof by instalments.

A good illustration of the operation of these provisions can be found in *Behrend & Co Ltd v. Produce Brokers Co. Ltd* [1920] 3 KB 530. This case involved the sale of several hundred tons of Egyptian cotton seed to be shipped from Alexandria to London on the *Port Inglis* and discharged into the buyer's craft alongside the ship at London. Part of the quantity was discharged into the buyer's barges, which were ready and willing to take the whole quantity. The *Port Inglis* then proceeded to Hull to discharge other cargo, before returning to London where she expected to discharge the rest of the cotton seed. The buyer, however, refused to accept this second delivery, and the King's Bench Division held it was entitled to keep the earlier part-delivery but reject the second.

Strangely enough, an attempt by the seller to deliver *too much* also entitles the buyer to reject the delivery. One might think it obvious that one could merely take what is required and not the rest, and justice would be satisfied, but this is not what SGA 1979 provides:

> **s.30(2)** Where the seller delivers to the buyer a quantity of goods larger than he contracted to sell, the buyer may accept the goods included in the contract and reject the rest, or he may reject the whole.

Under s.30(3), if he accepts the whole of the goods delivered, the buyer must pay for the whole of the goods at the contract rate per unit.

2.5 The Duty to Supply Goods at the Right Time

SGA 1979 s.10(1) provides that time of payment is *prima facie* not of the essence, while s.10(2) provides that in the case of all other stipulations as to time, whether they are or are not of the essence of the contract depends on the terms of the contract.

The Act does not provide any general rules, so the courts have done so themselves. In *Hartley v. Hymans* [1920] 3 KB 475, McCardie J held that 'In ordinary commercial contracts for the sale of goods the rule clearly is that time is prima facie of the essence with respect to delivery' (at 484).

Where no time has been fixed by the contract, s.29(3) SGA 1979 provides:

> Where under the contract of sale the seller is bound to send the goods to the buyer, but no time for sending them is fixed, the seller is bound to send them within a reasonable time.

This presumably applies to having them available for collection where delivery is to be by collection by the buyer.

2.6 The Seller's Additional Duty in a Sale by Description

SGA 1979, s.13:

(1) Where there is a contract for the sale of goods by description, there is an implied term that the goods correspond with the description.

(2) If the sale is by sample, as well as by description, it is not sufficient that he bulk of the goods corresponds with the sample if the goods do not also correspond with the description.

A sale by description is one in which the buyer is reliant upon the seller's description of the goods. Obviously, in any case where the seller has never actually seen the goods but places his order on the basis of the seller's description (in a catalogue or on a website, for example), then the sale must be one by description – see the dictum of Channel J in *Varley v. Whipp* [1900] 1 QB 513 at 516.

It has also been held that a sale of future or unascertained goods must be a sale by description: see *Joseph Travers & Sons Ltd v. Longel Ltd* (1947) TLR 150, per Sellers J at 153.

What was not certain early on was whether an ordinary sale of goods in a shop, where the buyer selects an item to purchase, is actually a sale by description; that is, whether they are simply sales of specific goods, that is, the items selected, or whether there is more to it than that. This question seems to have been largely put to rest in the leading case of *Grant v. Australian Knitting Mills Ltd* [1936] AC 85. In this case, Lord Wright said (at 100):

> It may also be pointed out that there is a sale by description even though the buyer is buying something displayed before him on the counter: a thing is sold by description, though it is specific, so long as it is sold not merely as the specific thing, but as a thing corresponding to a description, e.g. woollen undergarments, a hot-water bottle, a second-hand reaping machine, to select a few obvious illustrations.

And s.13(3) SGA 1979 provides: 'A sale of goods is not prevented from being a sale by description by reason only that, the goods being exposed for sale or hire, are selected by the buyer.'

There can be relatively few circumstances in which a sale is *not* a sale by description (even if they are also sales by sample, for example). A rare exception is the case of *Harlingdon & Leinster Enterprises Ltd v. Christopher Hull Fine Art Ltd* [1991] 1 QB 564, in which a gallery sold a painting that was described as being by the German expressionist painter Gabriele Münter, but was in fact a forgery. It was made clear by the seller (who was an art dealer who did not specialize in this field, but had been asked to dispose of the paintings) that he knew little about the paintings and nothing about Münter, whereas the buyers, whose employee inspected the painting before purchase, purported to have expertise in the field. The Court of Appeal held that it was the specific painting that was sold as it was clear that the description was not one which the sellers intended buyers to rely upon, and upon which the buyers did not in fact rely. This case invites comparison with *Leaf v. International Galleries* [1950] 2 KB 86, which involved the sale of a purported John Constable of Salisbury Cathedral. About five years after the sale, the buyer discovered that the painting was not, in fact, by Constable at all. The buyer tried to rescind for innocent misrepresentation. The County Court judge refused rescission, on the grounds that the contract had been executed. The Court of Appeal held that this was the wrong approach: an executed contract *could* be rescinded. But in this case, rescission was barred because such a long time had elapsed between execution of the contract and the buyer's demand for rescission. The buyer clearly could not have claimed the contract was void for mistake, because the mistake about who painted the picture was a mistake as to *quality*. However, the Court of Appeal assumed that the painting's being by Constable was a term of the contract and that had the buyer sued for breach of the implied term that the goods would conform to description, he would have succeeded. The buyer's lawyers had come to this conclusion during the County Court trial, but the judge had refused to allow the buyer to amend his claim. We do not know whether Mr Leaf started new proceedings for breach of contract (the six-year limitation period would only have begun to run when he discovered that the painting was not by Constable), or reached a settlement with the sellers or just gave up. The point is that the Court of Appeal thought authorship of a painting was a term of the contract. However, this point had not been argued before either court, nor had any evidence as to the customs of the art market been given, so *Harlingdon & Leinster* is the better authority on this.

We can also imagine goods in a junk shop, with no descriptions on them, just price tags. Would not these be specific sales with no element of description? Yet there is no communication here of the sort that took place in the case of the Münter. Let us suppose a person goes into a junk shop and sees a blue and white vase. It has no description attached, just a price of

£5. The customer believes it is actually a Ming dynasty Chinese vase worth £50,000, goes to the counter, buys it for £5 and later discovers that it was made in Taiwan 20 years ago. Now, there was no conversation at the counter to the effect of 'I want this vase and no other on Earth will do', merely an exchange of cash and receipt. There is clearly no sale by description, because there is no description, but equally there is no question of the buyer making it clear that they only wanted that vase in all the world. On this basis, we respectfully have to disagree with the authors of *Atiyah's Sale of Goods*, who have suggested that such would be the only case where a sale was not a sale by description.[1]

Whether words are part of a description or not may turn on whether they constitute terms or representations, which is a matter for ordinary contract law.

2.7 The Seller's Additional Duty in a Sale by Sample

SGA 1979, s.15 provides as follows:

(1) A contract of sale is a contract for sale by sample where there is an express or implied term to that effect in the contract.
(2) In the case of a contract for sale by sample there is an implied [term]—
  (a) that the bulk will correspond with the sample in quality;
  (b) . . .
  (c) that the goods will be free from any defect, [making their quality unsatisfactory], which would not be apparent on reasonable examination of the sample.
(3) As regards England and Wales and Northern Ireland, the term implied by subsection (2) above is a condition.

The two obvious questions we have to ask here are 'is it a sale by sample?' and 'what is a "reasonable" examination?'

2.7.1 Is It a Sale by Sample?

In *Parker v. Palmer* (1821) 4 B & Ald 387, which concerned the sale of a quantity of rice 'per sample', Abbott CJ explained (at 391) that 'the words *per sample*, introduced into this contract, may be considered to have the same effect as if the seller had, in express terms, warranted that the goods sold should answer the description of a small parcel exhibited at the time of the sale'. This is all very well when words such as 'per sample' are used, as this then amounts to an express term that the sale is by sample, but there are many occasions when no such express indication is given. In these cases, we have to decide if it was impliedly a sale by sample. Evidence that sales of the type of goods in question are customarily understood to be sales by sample was held to be admissible by Parke B in the Court of Exchequer (on appeal from the Liverpool Assizes) in *Syers v. Jonas* (1848) 2 Exch 111, which concerned the sale of tobacco.

[1] PS Atiyah, J Adams and H MacQueen, *Atiyah's Sale of Goods* (12th edn, Pearson 2010) p.151.

Conversely, the sale is not necessarily 'by sample' just because a sample is provided. *Benjamin's Sale of Goods* observes (at 11-070) that whether the sale is by sample will be a matter of fact in each case and the sample might, for instance, only be 'some indication of the nature of the goods offered'. Context, as so often, is king: if it is not appropriate to apply the rule that goods are only warranted to be free of defects which would not have been revealed by a reasonable examination of the sample, then it will not be held to be a sale by sample. *Benjamin* gives the example of a sale where it was not expected that the buyer would in fact carry out an examination of the sample.

There is also the problem of when the contract is made before the provision of a sample: a lot will depend here on the exact language of the contract. It may be that the reason for providing samples here is to help the buyer prepare for receipt of the goods (knowing, for instance, how much processing will be required). That would not be a sale by sample. But if the buyer has the right to reject on the basis of the sample, that might make it a sale by sample.

2.7.2 What Is a 'Reasonable Examination'?

The provisions of s.15(2)(c) SGA 1979 place more responsibility with the buyer and less with the seller than under s.14(2). The theory is that the seller is promising something which may not meet the definition of satisfactory quality under s.14(2), but rather is something of the same quality of the sample, and it is up to the buyer whether that is what they want (in the same way as if a seller offers a non-functioning item for 'spares or repairs' – it would not normally be of satisfactory quality, because it is not working, but it is satisfactory for spare parts, as described). In a way, then, the sample is a sort of description in its own right (but do not confuse description and sample!). But its descriptive powers are limited. As Lord Macnaghton said in *Drummond v. Van Ingen* (1887) 12 App Cas 284 at 297:

> The sample speaks for itself. But it cannot be treated as saying more than such a sample would tell a merchant of the class to which the buyer belongs, using due care and diligence, and appealing to it in the ordinary way and with the knowledge possessed by merchants of that class at the time. No doubt the sample might be made to say a great deal more. Pulled to pieces and examined by unusual tests which curiosity or suspicion might suggest, it would doubtless reveal every secret of its construction. But this is not the way in which business is done in this country.

In *Godley v. Perry* [1960] 1 WLR 9 a boy lost an eye when using a toy plastic catapult after the plastic shattered when he was trying to fire a stone from it. He had bought the catapult for 6d in the defendant's shop. The defendant had bought a stock of the catapults from the third party, whose salesman had demonstrated one to the shopkeeper's wife by pulling back the elastic. The third party had bought its stock from the fourth party by sample. The accepted test was to check that the elastic could not be pulled back by more than two and a half feet (otherwise it could present too much of a danger in use). They had done this test. No defect was discovered at this point, but the defect turned out to be that it had been cheaply moulded from low quality plastic, something such a test was unlikely to reveal. In his judgment, Edmund Davies J commented (at 15):

> Counsel for the fourth party demonstrated that by squeezing together the two prongs of the catapult in the hand they could be fractured, and further suggested that by holding the toy down with one's foot and then pulling on the elastic its safety could be tested and, as I understand it, its inherent fragility would thereby inevitably be discovered. True, the potential customer might have done any of these things. He might also, I suppose, have tried biting the catapult, or hitting it with a hammer, or applying a lighted match to ensure its non-inflammability, experiments which, with all respect, are but slightly more bizarre than those suggested by counsel. But, looking at the matter realistically, as one must, in my judgment none of those tests are called for by a process of 'reasonable examination,' as that phrase would be understood by the common-sense standards of everyday life. All these suggested tests were doubtless practicable, but the Act speaks not of a 'practicable,' but of a 'reasonable,' examination. Not extreme ingenuity, but reasonableness, is the statutory yardstick.

So, in summary, we can say that the buyer is bound to accept the goods with faults that a reasonable test would have revealed, but otherwise the seller is bound to supply goods of satisfactory quality. What is reasonable will depend on all the circumstances, including the size of the sample, as some faults might not show up in a small sample, for instance.

While s.14 only applies to sellers who are selling in the course of business, this is not true of ss.12, 13 and 15, which apply irrespective of whether the sale is in course of business.

You should now be able to enumerate the duties of a seller under the Sale of Goods Act 1979

3. THE BUYER'S DUTIES

In contrast with the range of duties placed upon the seller, the buyer has only two legal duties: (1) to pay the price of the goods; and (2) to take delivery of them.

3.1 The Duty to Pay the Price

This breaks down into two matters: the time of payment and the form of payment.

3.1.1 Time of Payment

The buyer is not normally entitled to claim possession of the goods unless he is ready and willing to pay the price.

The parties can agree what terms they like as to time of payment and delivery, so that goods may be sold on the understanding that they are to be paid for some time after delivery,

and perhaps by instalments. The default position, however, in the absence of any other agreement is that the duties to deliver and to pay are concurrent ones:

> **SGA 1979, s.28:**
> Unless otherwise agreed, delivery of the goods and payment of the price are concurrent conditions, that is to say, the seller must be ready and willing to give possession of the goods to the buyer in exchange for the price, and the buyer must be ready and willing to pay the price in exchange for the goods.

But **s.10 SGA** states:

> (1) Unless a different intention appears from the terms of the contract, stipulations as to time of payment are not of the essence of a contract of sale…

The two provisions taken together would seem to mean that late payment would be a breach of contract entitling the seller to damages if he has suffered any loss (or nominal damages if he cannot demonstrate this), but not automatically to treat the contract as repudiated and sell the goods elsewhere. The s.10 provision does not take away the seller's right to withhold delivery until payment, which is the effect of s.28.

In the event of late payment, damages may be awarded to the seller where he has suffered some additional costs provided the likelihood of such costs resulting from late payment is made known to the buyer (see *President of India v. La Pintada Compania Navigacion SA* [1985] AC 104), which is an application of the second limb in *Hadley v. Baxendale.* The seller is also entitled to court-awarded interest from the buyer for late payment under s.3 Law Reform (Miscellaneous Provisions) Act 1934 and, in the case of business-to-business sales, under the Late Payment of Commercial Debts (Interest) Act 1998.

There is, moreover, a right to terminate and sell goods on because of late payment where the goods remain in the hands of the seller, particularly if they are perishable:

> **SGA 1979, s.48(3):**
> Where the goods are of a perishable nature, or where the unpaid seller gives notice to the buyer of his intention to re-sell, and the buyer does not within a reasonable time pay or tender the price, the unpaid seller may re-sell the goods and recover from the original buyer damages for any loss occasioned by his breach of contract.

3.1.2 Form of Payment

The parties can agree any consideration, of course – you will remember *Chappell & Co Ltd v. Nestlé Co Ltd* [1960] AC 87, and other cases on the same point from your study of contract law. But in a 'sale' governed by the Sale of Goods Act, there must be a money consideration (see s.2(1) SGA 1979), though, as in *Chappell v. Nestlé*, there may be additional consideration as well as money. In default of agreement to the contrary, the seller is not bound to accept payment in any form but cash. If the seller accepts payment by cheque or similar, and the parties have not otherwise stipulated, the seller can retain the goods until the payment has

been honoured (that is, the cheque has 'cleared'). Payment by cheque or other negotiable instrument is normally treated as conditional. This means that if the instrument is not honoured, the seller may opt either to sue on the instrument as a breached contract in its own right (which is very advantageous, because it means that the buyer cannot delay payment on grounds of having a set-off or counterclaim: *Jade International Steel GmbH & Co KG v. Robert Nicholas (Steels) Ltd* [1978] QB 917) or sue on the original sale contract for the price of the goods as an 'unpaid seller' (SGA 1979, s.38(1)(b)).

The parties can, of course, agree to treat such a payment as absolute, in which case the risk of dishonour falls on the seller, but this is rare and the intention must be strictly proved: *Maillard v. Argyle* (1843) 6 M & G 40. Letters of credit also effectively operate as a conditional payment only, and a seller is not prevented from suing the buyer directly: *WJ Alan & Co Ltd v. El Nasr Export & Import Co* [1972] 2 QB 179.

Nonetheless, not all third-party derived payments are treated as conditional, and whether they are or not depends on the particular method of payment and the circumstances: *Re Charge Card Services Ltd* [1988] 3 All ER 702. A clear example of this is payment by credit card, which seems to be absolute payment – the seller does not usually have any record of the seller's address, for instance, and the seller's rights are really against the card company. Indeed, the buyer has the same actions against the credit card company (for example, in respect of faulty goods) that he has against the seller; the theory seems to be a triangular relationship in which the actual seller and the credit card company are both liable in full to the buyer, who has, in effect, two sellers.

3.2 Duty to Take Delivery

This is the duty comprised in ss.27 and 28 SGA 1979 – that is, the duty in s.27 of the buyer to 'accept' the goods, and the fact that the duty is concurrent with payment contained in s.28.

Generally speaking, the time at which the buyer accepts delivery is not of the essence: *Woolfe v. Horn* (1877) 2 QBD 355. So, failure of the buyer to take delivery at the correct time does not on its own entitle the seller to dispose of the good to another buyer. If, however, such a failure is accompanied by acts or words that would make an ordinary person in the position of the seller think that the buyer intended to repudiate the contract, then the seller may treat the contract as repudiated from that point and dispose of the goods elsewhere. In other words, a failure to accept at the appointed time can be evidence of repudiation, though it is not sufficient without other evidence.

The parties may, as always, provide by their contract that time of acceptance of delivery is of the essence, and for the automatic determination of the contract on given events. The circumstances surrounding the contract, or the general type of contract or goods, may mandate a different approach from the default.

Examples:

Perishables and livestock

In the case of perishable goods, the duty to take delivery at the right time is of the essence of the contract, and breach entitles the seller to re-sell immediately: *Sharp v. Christmas* (1892)

8 TLR 687. The same rule appears to apply to sales of livestock: see *Harrington v. Browne* (1917) 23 CLR 297.

Spot contracts

These are contracts where the delivery and payment are expected immediately or almost immediately following the making of the contract. A sale of some ordinary item in a shop (for example, a packet of cigarettes) is usually a spot contract, but such contracts are also made for commodities such as oil, for instance, where payment and the transfer of ownership are expected to be almost immediate (though bear in mind that many commodities contracts are in fact futures, not spot contracts for the commodities themselves at all).

NB: If time of delivery is of the essence, then usually the time of payment will also be of the essence, because of the s.28 provision that the two be concurrent conditions, but again this is only in default of contrary agreement – the parties can provide that one will be of the essence and the other not.

Even when time for acceptance of delivery is not of the essence, SGA 1979 s.20 has the effect, where the buyer delays taking delivery, of transferring on to the buyer the risk of accidental damage to or destruction of the subject matter of the contract, where such damage or destruction might not have occurred had it not been for the delay. (Section 20 places the risk on the person causing delay in delivery, irrespective of when property in the goods has legally passed, which would normally carry the risk with it.)

Special Contracts

Note that in some types of sales contracts, the duty to take delivery also involves a number of other duties on the buyer. The most obvious example is the f.o.b. contract, where the buyer has, for example, to nominate a ship for the goods to be loaded onto, and a breach of such incidental conditions, being a breach of a condition, will discharge the seller of all further liability: see *Bunge Corp v. Tradax Export SA* [1981] 1 WLR 711.

✓ **You should now be able to explain the duties of the buyer under the Sale of Goods Act 1979**

4. THE CONSUMER RIGHTS ACT 2015

Sales by 'traders' to 'consumers' are now governed by a separate statutory scheme from all other sales. The Consumer Rights Act 2015 (CRA 2015) was passed to implement European Union requirements about consumer sales, broadly standardizing consumers' rights against traders across the European Union as it then stood. Arguably, consumers were better off under SGA 1979, but that is certainly a debate for somewhere else. Whatever the merits and demerits, the CRA 2015 is what we now have to govern sales by traders to consumers, but not sales by one trader to another, or by a consumer to a trader or by a consumer to a consumer. And who counts as a trader or consumer depends on the context of the sale. Part I of the Act deals with selling goods and digital content to consumers; its Chapter 2 deals with sales of goods. The rest of the

Act deals with a wide range of other consumer issues. In this book, we have chosen to treat 'commercial law' as essentially the law affecting B2B transactions. There is nothing magical about this decision: it is simply a matter of choice. But consumer law is a complex area of law in its own right, and we have decided that the best place for dealing with trader-to-consumer sales is either in a specialist book on sales or in a specialist book on consumer law, and so not to deal with these matters here. You do, however, need to know when the CRA 2015 applies instead of the SGA 1979. Chapter 1 of CRA 2015 sets out the scope of the Act. Any transaction falling within this will be governed by CRA 2015 and not by the law we have already discussed, though there are many similarities. You can see for yourself the scope of CRA 2015 from ss.1 and 2, set out below.

KEY STATUTORY PROVISION
CONSUMER RIGHTS ACT 2015, SS.1 AND 2

1 WHERE PART 1 APPLIES

(1) This Part applies where there is an agreement between a trader and a consumer for the trader to supply goods, digital content or services, if the agreement is a contract.
(2) It applies whether the contract is written or oral or implied from the parties' conduct, or more than one of these combined.
(3) Any of Chapters 2, 3 and 4 may apply to a contract—
  (a) if it is a contract for the trader to supply goods, see Chapter 2;
  (b) if it is a contract for the trader to supply digital content, see Chapter 3 (also, subsection (6));
  (c) if it is a contract for the trader to supply a service, see Chapter 4 (also, subsection (6)).
(4) In each case the Chapter applies even if the contract also covers something covered by another Chapter (a mixed contract).
(5) Two or all three of those Chapters may apply to a mixed contract.
(6) For provisions about particular mixed contracts, see—
  (a) section 15 (goods and installation);
  (b) section 16 (goods and digital content).
(7) For other provision applying to contracts to which this Part applies, see Part 2 (unfair terms).

2 KEY DEFINITIONS

(1) These definitions apply in this Part (as well as the definitions in section 59).
(2) 'Trader' means a person acting for purposes relating to that person's trade, business, craft or profession, whether acting personally or through another person acting in the trader's name or on the trader's behalf.
(3) 'Consumer' means an individual acting for purposes that are wholly or mainly outside that individual's trade, business, craft or profession.
(4) A trader claiming that an individual was not acting for purposes wholly or mainly outside the individual's trade, business, craft or profession must prove it.
(5) For the purposes of Chapter 2, except to the extent mentioned in subsection (6), a person is not a consumer in relation to a sales contract if—

(a) the goods are second hand goods sold at public auction, and

(b) individuals have the opportunity of attending the sale in person.

(6) A person is a consumer in relation to such a contract for the purposes of—

(a) sections 11(4) and (5), 12, 28 and 29, and

(b) the other provisions of Chapter 2 as they apply in relation to those sections.

(7) 'Business' includes the activities of any government department or local or public authority.

(8) 'Goods' means any tangible moveable items, but that includes water, gas and electricity if and only if they are put up for supply in a limited volume or set quantity.

(9) 'Digital content' means data which are produced and supplied in digital form.

✓ **You should now be able to identify those cases where the Consumer Rights Act 2015 applies rather than the Sale of Goods Act 1979**

6
Sale of goods III: passing of property

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ appreciate the importance of passing of property in sales of goods
- ✓ identify the relevant rules applicable to determining when property passes
- ✓ understand the 'default' nature of those rules
- ✓ be able to state the 'nemo dat' rule
- ✓ explain the exceptions to 'nemo dat'

1. INTRODUCTION

As we saw in Chapter 4, 'property' seems to have its own meaning in English sales law. It does not equate to 'title', certainly: a good title is good against the world, while the SGA 1979 (in the subtitle of Chapter III of the Act) refers to the passing of property 'as between buyer and seller', which is something quite different – this seems to refer to a bundle of rights and obligations attached to the goods and to have a special meaning confined to the SGA 1979.

The main things that seem to depend on property in SGA 1979 are:

- **risk** – the goods are, in the absence of some contrary or other agreement, at the risk of whoever has the property in the goods;
- **basis of action** – if property has not passed, then the seller who has not been paid has an action for damages for breach of contract only and must prove his loss; if property has passed, then the seller has an action for the price of the goods; and
- **remedies open to the buyer in the event of wrongful resale** – if the property has passed in goods, then the buyer is (generally) entitled to specific relief to obtain delivery of the goods where the seller is planning to sell them to someone else.

Having the property in the goods does not, for example, entitle that person to sue the person in possession for conversion, at least not of itself, since a claimant in conversion must have an immediate right to possession, which having property under the SGA 1979 does not confer – for instance, property may pass in specific goods at the time the contract of sale is made (SGA 1979, s.18 r.1, of which more below), but the buyer does not have an immediate

right to possession until payment, unless credit is agreed, and so would not have an action for conversion if the seller resold the goods. (There is more about actions for conversion in Chapter 9.)

Nonetheless, the idea of the passing of property is central to the notion of sale (see, yet again, s.2(1) SGA, defining a contract of sale as 'a contract by which the seller transfers or agrees to transfer to the property in goods to the buyer…'), and it may be that the draughtsmen of the Act did not want to get involved with third party rights – clearly a buyer with property in the goods would have a good 'title' as against the seller, and an action against the seller for breach of the implied term of right to sell in s.12 of the Act, which would allow the buyer to obtain damages from the seller if he does not acquire a title good against the world.

2. RISK

The general rule is that risk goes with property – sometimes expressed in Latin as 'res perit domino' ('the thing is at the risk of the master'). Section 20 of SGA 1979 provides as follows:

20 Passing of risk

(1) Unless otherwise agreed, the goods remain at the seller's risk until the property in them is transferred to the buyer, but when the property in them is transferred to the buyer the goods are at the buyer's risk whether delivery has been made or not.

(2) But where delivery has been delayed through the fault of either buyer or seller the goods are at the risk of the party at fault as regards any loss which might not have occurred but for such fault.

(3) Nothing in this section affects the duties or liabilities of either seller or buyer as a bailee or custodier of the goods of the other party.

(Subsection (4) deals with cases covered by the CRA 2015.) This is a 'default rule', which is characteristic of SGA 1979. The Act rarely stipulates a 'mandatory rule', preferring to leave the widest scope for the parties to be free to make their own terms – words to the effect of 'unless otherwise agreed' appear some 19 times in the Act.

✓ **You should now appreciate the importance of when property passes in a sale of goods**

3. RULES FOR PASSING OF PROPERTY

When property will pass under a sale is, again, first and foremost a matter of agreement between the parties. Section 17 SGA 1979 provides as follows:

(1) Where there is a contract for the sale of specific or ascertained goods the property in them is transferred to the buyer at such time as the parties to the contract intend it to be transferred.

(2) For the purpose of ascertaining the intention of the parties regard shall be had to the terms of the contract, the conduct of the parties and the circumstances of the case.

It is generally accepted that subsection (2) also holds good for unascertained goods.

If the parties make provision, or it is otherwise apparent from their conduct or the circumstances what their particular intention was, then that is what the courts will hold to determine the transfer of property. If they do not, then a set of default rules are provided in s.18, set out in full below.

KEY STATUTORY PROVISION
SALE OF GOODS ACT 1979, SECTION 18

RULES FOR ASCERTAINING INTENTION

Unless a different intention appears, the following are rules for ascertaining the intention of the parties as to the time at which the property in the goods is to pass to the buyer.

Rule 1—

Where there is an unconditional contract for the sale of specific goods in a deliverable state the property in the goods passes to the buyer when the contract is made, and it is immaterial whether the time of payment or the time of delivery, or both, be postponed.

Rule 2—

Where there is a contract for the sale of specific goods and the seller is bound to do something to the goods for the purpose of putting them into a deliverable state, the property does not pass until the thing is done and the buyer has notice that it has been done.

Rule 3—

Where there is a contract for the sale of specific goods in a deliverable state but the seller is bound to weigh, measure, test, or do some other act or thing with reference to the goods for the purpose of ascertaining the price, the property does not pass until the act or thing is done and the buyer has notice that it has been done.

Rule 4—

When goods are delivered to the buyer on approval or on sale or return or other similar terms the property in the goods passes to the buyer:—

(a) when he signifies his approval or acceptance to the seller or does any other act adopting the transaction;

(b) if he does not signify his approval or acceptance to the seller but retains the goods without giving notice of rejection, then, if a time has been fixed for the return of the goods, on the expiration of that time, and, if no time has been fixed, on the expiration of a reasonable time.

Rule 5—

(1) Where there is a contract for the sale of unascertained or future goods by description, and goods of that description and in a deliverable state are unconditionally appropriated to the contract, either by the seller with the assent of the buyer or by the buyer with the assent of the seller, the property in the goods then passes to the buyer; and the assent may be express or implied, and may be given either before or after the appropriation is made.

(2) Where, in pursuance of the contract, the seller delivers the goods to the buyer or to a carrier or other bailee or custodier (whether named by the buyer or not) for the purpose of transmission to the buyer, and does not reserve the right of disposal, he is to be taken to have unconditionally appropriated the goods to the contract.

(3) Where there is a contract for the sale of a specified quantity of unascertained goods in a deliverable state forming part of a bulk which is identified either in the contract or by subsequent agreement between the parties and the bulk is reduced to (or to less than) that quantity, then, if the buyer under that contract is the only buyer to whom goods are then due out of the bulk—

(a) the remaining goods are to be taken as appropriated to that contract at the time when the bulk is so reduced; and

(b) the property in those goods then passes to that buyer.

(4) Paragraph (3) above applies also (with the necessary modifications) where a bulk is reduced to (or to less than) the aggregate of the quantities due to a single buyer under separate contracts relating to that bulk and he is the only buyer to whom goods are then due out of that bulk.

Rules 1 to 3 concern only specific goods, and rule 4 necessarily applies to specific or ascertained goods. Rule 5 deals with unascertained goods, and presents the principal complications.

The Rules very largely speak for themselves, but a number of points do need particular elucidation, viz., 'unconditional contract', 'deliverable state' and 'unconditionally appropriated', which we will now explain in turn.

Don't forget: 'Unless a different intention appears…' The contract between the parties governs. It is their intentions that matter. Section 18 only comes into play where there is insufficient evidence for the court to make a reasonable inference of the intentions of the parties.

3.1 'Unconditional Contract'

An unconditional contract for sale is a contract not subject to a condition precedent – the expression has the same meaning in s.18 SGA 1979 that it has elsewhere in the Act. Other elements, however, need some explanation in order to understand them properly.

3.2 'Deliverable State'

> **SGA 1979, s.61(5):**
> Goods are in a 'deliverable state' within the meaning of this Act when they are in such a state that the buyer would under the contract be bound to take delivery of them.

This creates immediate problems, because a buyer would not be obliged to take delivery of defective goods. So, on the face of it, this would appear to mean that, unless the parties have otherwise agreed, property in defective goods could never pass, yet there is ample authority to the effect that it can. For instance, the case of *Bernstein v. Pamson Motors (Golders Green) Ltd* [1987] 2 All ER 220 hung on the question of whether the defective goods had been accepted or not, thus determining whether the buyer could reject the goods (a new car that proved prone to breakdown and which he sought to return after only managing to put 140 miles on the clock due to the car's defectiveness) or was confined to his remedy in damages, involving an application of s.11(4) SGA:

> (4) … where a contract of sale is not severable and the buyer has accepted the goods or part of them, the breach of a condition to be fulfilled by the seller can only be treated as a breach of warranty, and not as a ground for rejecting the goods and treating the contract as repudiated, unless there is an express or implied term of the contract to that effect.

However, this case was overruled in *Clegg v. Olle Andersson*. A reasonable amount of time is allowed for rejection and the seller's right is a reversionary one, so that property can be said to pass conditionally until the reasonable time has passed.

KEY CASE
***CLEGG V. OLLE ANDERSSON (T/A NORDIC MARINE)* [2003] EWCA CIV 320**

In this case, Mr and Mrs Clegg agreed in December 1999 to buy from Mr Andersson a 'Malo 42' yacht, brand new, at a price of £236,000. It was to be in accordance with certain standard specifications from the builder, including a 5.5 tonne keel. When it was delivered, Mr Andersson admitted that the keel was in fact much heavier than specified. Correspondence passed between the parties about how to resolve the issue, which ended in the Cleggs' solicitors writing a letter saying the Cleggs had, and were exercising, a right to reject the yacht. Mr Andersson disagreed and the Cleggs issued proceedings. (The Cleggs did seek other avenues to push for a settlement: Mr Clegg threatened to get negative press coverage for Mr Andersson, and he (Clegg) and a group of friends went around the Southampton Boat Show wearing t-shirts emblazoned with disparaging comments about Mr Andersson and Malo, the yacht builders.) At first instance, before HH Judge Seymour QC, a circuit judge sitting as a judge of the Queen's Bench Division, they lost. The judge held that there was no breach of condition in respect either of description (s.13 SGA 1979) or quality (s.14 SGA 1979), and even if there had been, the Cleggs had lost their right to reject.

The Cleggs appealed and the Court of Appeal (Sir Andrew Morritt V-C, Hale and Dyson LJJ) held in the Cleggs' favour:

(1) Goods sold in the course of a business had to be of satisfactory quality and the test was whether a reasonable person would think the goods satisfactory, taking into account their description, price and all other relevant circumstances. On this case, a reasonable person would consider that the yacht as delivered was not of satisfactory quality because of the overweight keel, which had an adverse effect on safety and which would need a lot of work to remedy. The buyers had therefore established a breach of condition under s.14(2) of the 1979 Act.

(2) In English law, the customer had a right to reject goods which were not of satisfactory quality. He or she did not have to act reasonably in choosing rejection rather than damages or cure and could reject for whatever reason he or she chose. The buyer would lose the right to reject by accepting the goods, pursuant to s.11 of the 1979 Act; by acting inconsistently with the seller's reversionary interest in the goods, pursuant to s.35(1) of the Act; or by leaving it too long before telling the seller that he or she rejected them, pursuant to s.35(4) of the Act. Time taken to ascertain what would be required to effect modification or repair was to be taken into account in resolving the question of fact which arose under s.35(4). Moreover, by s.35(6), a buyer did not accept the goods simply by asking for or agreeing to their repair. It followed that a buyer did not lose the right to reject by seeking information which the seller had agreed to supply which would enable him or her to make a properly informed choice between acceptance, rejection or cure. In this case, once the information was eventually provided, the buyers had taken only three weeks to inform the seller that they were rejecting the yacht, which was not an unreasonable amount of time. So the Cleggs had not lost their right to reject the yacht and were entitled to the return of the purchase price and compensation for consequential losses.

The Cleggs, as consumers, might not be in such a good position today, since the passing of the Consumer Rights Act 2015, under which they would likely have to allow the defendant the chance to repair the yacht, because 28 days had passed before they claimed to reject it.

There have been a number of cases in which the question of 'deliverable state' arose. For instance, in the case of *Underwood Ltd v. Burgh Castle Brick & Cement Syndicate* [1922] 1 KB 343, a 30-ton condensing engine sold 'free on rail' (similar to 'free on board', but with a train instead of a ship) was held by the Court of Appeal not to be in a deliverable state until it had been dismantled (although this was specific goods, the need for dismantling and the fact it was sold 'free on rail' clearly negative any intention for property to pass at time of sale anyway, so the question of it being in a deliverable state or not is hardly problematic – unless it is put on the train it is not 'deliverable' free on rail). In *Philip Head & Sons Ltd v. Showfronts Ltd* [1970] 1 Lloyd's Rep 140, a very heavy bale of carpet (delivered at the buyer's premises with a view to later fitting by the seller, but stolen in the meantime) was considered not deliverable because of its weight and bulk – but this does not make much sense, since very heavy things are often in fact delivered, and suppose the buyers had planned to fit it themselves? How could it not have been in a deliverable state in that case? We mention it here because

the judge (Mocatta J) mentioned this point, but we doubt it is really a deliverable state case, and think (with great respect) that Mocatta J merely got, quite understandably, confused. The true basis of the decision, in our opinion, was that the carpet was not 'unconditionally appropriated' to the contract.

The true rule is probably that goods are not in a deliverable state if the buyer would not be obliged to accept them, for example because they are defective. However, property passes conditionally unless and until the right to reject has been either exercised, in which case it reverts to the seller, or is lost, for example due to passage of time or the buyer otherwise acting inconsistently with the seller's reversionary interest.

3.3 'Unconditionally Appropriated'

This element seems to give the greatest difficulty in practice. The question arises only in relation to r.5, regarding the transfer of property in unascertained goods.

> **SGA 1979, s.16** provides that:
> Subject to section 20A below, where there is a contract for the sale of unascertained goods, no property in the goods is transferred to the buyer unless and until the goods are ascertained.

(Section 20A deals with bulk goods owned in common – a little more on this later.) This provides a minimum condition, but s.18 r.5 provides the default rule on transfer, subject to s.16.

The idea of unconditional appropriation can be illustrated through three well-known cases: *Healy v. Howlett & Sons*, *Carlos Federspiel & Co SA v. Charles Twigg & Co Ltd* and *Philip Head & Sons Ltd v. Showfronts Ltd* (already discussed above).

KEY CASE
***HEALY V. HOWLETT & SONS* [1917] 1 KB 337**

The defendant buyer agreed to purchase 20 boxes of 'hard, bright mackerel' (that is, good, very fresh mackerel) from the plaintiff seller, who was a fish exporter based at Valentia in Ireland, to be delivered to Billingsgate (the fish market in the City of London). The boxes were part of a shipment of 190 boxes including 170 boxes for two other purchasers (20 for one and 150 for the other), which was consigned to the railhead at Holyhead (in Anglesey – a port that has ferry services to and from Dublin), with instructions to the railway company at Holyhead to consign 20 of the boxes to the defendant. The, post-contractual, invoice stated that they were to be at the buyer's risk once on rail. Due to a delay in getting the fish by train to Dublin, meaning that they missed the boat and had to wait for the next boat to Holyhead, the fish deteriorated. The question for the court was at whose risk the deterioration was. The court (Riley and Avory JJ) held, naturally enough, that the term on the invoice was post-contractual and thus not binding on the defendant. The court further held that there was no appropriation until the railway company marked the boxes at Holyhead, by which time the deterioration had already occurred. Therefore, the deterioration occurred before property could pass, as it happened while the goods were still unascertained, and it was thus at the risk of the seller.

In *Carlos Federspiel & Co SA v. Charles Twigg & Co Ltd* [1957] 1 Lloyd's Rep 240, an action was brought by Carlos Federspiel, a company in Costa Rica, against the defendant company and its liquidator. The plaintiff claimed delivery of bicycles and tricycles to the value of £646 / 5s, and damages for detinue and conversion. The bicycles and tricycles were made to the buyer's order and packed in containers with the buyer's name and address on them. However, before shipping could take place, Charles Twigg & Co became insolvent. The question therefore arose whether the bicycles and tricycles belonged to the buyers or whether they would have to claim in damages only and rank as an unsecured creditor, with little prospect of receiving much, if any, of their money. If property had passed, the machines would belong to the buyer, and that is that, and any money from a resale would belong to them, not fall into the assets of the insolvent company. The Commercial Court of the QBD (Pearson J) held that property had not passed. The reasons are fivefold, so you should read the case. What we take to be the key point is the fifth one: that generally the appropriating act is the last one to be done by the seller; and this makes sense, since until appropriation the goods remain at the risk of the seller, while once appropriation takes place the goods are at the risk of the buyer, and it seems a pragmatic solution to leave goods at the seller's risk until he has done all that he is obliged to do under the contract. (When, or if, you do read the case, you will see that there is some discussion about the labelling of the goods for the buyer in the seller's premises, and that this did not constitute unconditional appropriation, because the labels could be removed and substituted for another buyer. The learned judge seems to have missed that this was an FOB sale, so that property would not pass until the goods (or documents representing the goods) had been passed over the ship's rail, which is the perfect solution to the case.)

Certainly, this explains *Philip Head & Sons Ltd v. Showfronts Ltd* [1970] 1 Lloyd's Rep 140. The facts are stated above. The real basis of this decision, we suggest, is that the sellers were to fit the carpet, and had not done so, and as there remained this last act to be done by them, and they could theoretically have substituted some other piece of carpet until that point, the goods had not been unconditionally appropriated to the contract. (It should be borne in mind, of course, that this is one opinion, since one could explain it on the deliverable state point, so that it would not be capable of unconditional appropriation until it was in a deliverable state – but we have already seen that if this is true, then that would probably be a bad reason for the decision.) The carpet had been delivered in several bales, had been taken away and sewn together and then delivered again in one very big bale ready for fitting, and had then been stolen, but in spite of the sewing together to make it meet the needs of the contract, appropriation had still not taken place. If *Philip Head* is rightly decided, then it is quite hard to see how unconditional appropriation (as opposed to a reversible, interim appropriation) *can* take place before the seller performs the final action he is contracted to perform in the sale contract (leaving aside subsequent acts under an associated maintenance agreement, for example).

One final point we want to make here relates to s.18 r.5(2). This provides that the seller delivering the goods to a carrier (or other bailee or custodier) amounts to unconditional appropriation. That would seem in contrast with the decision in *Healy v. Howlett*, above. However, clearly, where a consignment for several consignees is handed to a carrier and the carrier is left to designate which parts of the consignment are for which consignee, this rule can have no application.

3.4 Assent of the Buyer

The buyer's assent to the appropriation of goods, required in r.5, may be express or be implied from circumstances. In *Pignatoro v. Gilroy* [1910] 1 KB 459, the buyer was taken to have impliedly assented when he failed to respond for a whole month to a notice from the seller that he had appropriated goods to the contract (in this case rice, sold by sample). The buyer's assent can be given (or implied) either before or after the making of the appropriation by the seller: r.5(1).

3.5 Goods Forming Part of a Bulk

This can be dealt with very briefly or at very great length. In the spirit of this book as a whole, we prefer to go with the first option.

What is a bulk? 'Bulk' is defined in s.61(1) SGA 1979 as follows:

'bulk' means a mass or collection of goods of the same kind which—
(a) is contained in a defined space or area; and
(b) is such that any goods in the bulk are interchangeable with any other goods therein of the same number or quantity.

Transfer of property in goods in a bulk is dealt with in s.18 r.5(3) and (4) and in s.20A SGA 1979. Remember that the rules in s.18 are for 'ascertaining intention' of the parties as to when property is to transfer, where there is no sufficient other evidence to go on. Rule 5 paragraphs (3) and (4) (reproduced above with the rest of s.18) states that (in the absence of other demonstrable intent) the parties are assumed to have intended that where a buyer has contracted to buy a quantity of goods contained in a bulk (say, 10,000 litres of oil contained in a tank containing 100,000 litres), once the amount of the goods left in the bulk is reduced to the amount the buyer has contracted to buy, then property passes. (Naturally, if the buyer comes to collect his oil before the bulk is reduced, then the appropriation will be taking place without the bulk being reduced in this way – this is provision for property to pass by exhaustion of the bulk.)

Section 20A is more complex. We will set it out below, and then discuss it in terms of hypotheticals. Once you have the idea, the complexity ceases to be a difficulty.

SGA 1979 s.20A Undivided shares in goods forming part of a bulk

(1) This section applies to a contract for the sale of a specified quantity of unascertained goods if the following conditions are met—
  (a) the goods or some of them form part of a bulk which is identified either in the contract or by subsequent agreement between the parties; and
  (b) the buyer has paid the price for some or all of the goods which are the subject of the contract and which form part of the bulk.

(2) Where this section applies, then (unless the parties agree otherwise), as soon as the conditions specified in paragraphs (a) and (b) of subsection (1) above are met or at such later time as the parties may agree—

(a) property in an undivided share in the bulk is transferred to the buyer, and
(b) the buyer becomes an owner in common of the bulk.

(3) Subject to subsection (4) below, for the purposes of this section, the undivided share of a buyer in a bulk at any time shall be such share as the quantity of goods paid for and due to the buyer out of the bulk bears to the quantity of goods in the bulk at that time.

(4) Where the aggregate of the undivided shares of buyers in a bulk determined under subsection (3) above would at any time exceed the whole of the bulk at that time, the undivided share in the bulk of each buyer shall be reduced proportionately so that the aggregate of the undivided shares is equal to the whole bulk.

(5) Where a buyer has paid the price for only some of the goods due to him out of a bulk, any delivery to the buyer out of the bulk shall, for the purposes of this section, be ascribed in the first place to the goods in respect of which payment has been made.

(6) For the purposes of this section payment of part of the price for any goods shall be treated as payment for a corresponding part of the goods.

Let us suppose, then, that Jobson's Grain plc has a silo full of wheat, suitable for processing into animal feed. There are 3,000 tonnes of wheat in this silo. Jack Animal Feeds Ltd contracts to buy 1,500 tonnes of wheat from this bulk. Jill's Agricultural Supplies Ltd contracts to buy 1,000 tonnes, and Giles's Free Range Eggs plc agrees to buy 500 tonnes. Jobson's is selling the wheat at £180 per tonne. Jack pays 50 per cent up front (£135,000), with the remainder to be paid within 30 days of taking delivery. Jill pays in full (£180,000), but Giles always pays by bank transfer on delivery. Before any of the buyers can take their grain, Jobson's enters into liquidation.

Under s.20A(1)(a) and (b) Jack and Jill are owners 'in common' of undivided shares in the bulk. This means that we cannot identify which particular grains of wheat each of them owns, but they own a proportionate share each and could sell their interest in the bulk on to other parties if they wished. Because Giles plc has not paid any part of the price for its share of the grain, it is not an owner in common with Jack and Jill. Jill owns 1,000 tonnes, because she has paid for that much and has contracted to get that much. Jack owns 750 tonnes, because although he has contracted to get 1,500 tonnes, he has only paid for 750 tonnes of it. The rest would fall into the general assets of Jobson's, but Jack can sue the liquidators for breach of contract if they do not deliver the full 1,500 tonnes. If Jobson's has been naughty and sold 4,000 tonnes of wheat out of the 3,000-tonne bulk, then if the other buyers (of the non-existent 1,000 tonnes) have not paid anything, the situation is unaffected. If, however, those other buyers have paid in full or in part for their shares, then the ownership of the 3,000 tonnes is shared out between Jack, Jill and the other buyers, in proportion to what they have paid, so Jill will not, in this case, own her full 1,000 tonnes she has paid for, and Jack will have a further reduction in his property interest in the contents of the silo.

✓ **You can now identify the relevant rules as to when property passes in a sale of goods**

✓ **You should now also understand the 'default' nature of the rules on passing of property**

4. GOODS NOT BELONGING TO THE SELLER ('NEMO DAT')

The Latin expression '*nemo dat quod non habet*' (commonly shortened to 'nemo dat') means, literally, 'no one can give what he/she/it does not have'. This is an expression of the common law rule that a seller cannot pass to a buyer a better title than the seller himself has. Like all the Latin tags we use in the law, it does not quite mean what it says. In this case, while a seller cannot give what he does not have, sometimes the buyer can get something the seller does not have, because the law rather than the seller gives it to the buyer. This is true because of the exceptions to the general rule.

✓ **You should now be able to state the 'nemo dat' rule**

The general rule now finds expression in statutory form in s.21(1) SGA 1979, the first part of which states: 'Subject to this Act, where goods are sold by a person who is not their owner, and who does not sell them under the authority or with the consent of the owner, the buyer acquires no better title to the goods than the seller had…' The remainder of this subsection provides an exception for where a true owner has given by words or conduct the impression that the seller is empowered to pass a good title – in other words, the true owner in some circumstances is estopped from asserting their title. That is just one of the exceptions to the general rule. The clue is in the first four words of s.21(1): 'Subject to this Act.' The Act makes general provision for situations arising under the Factors Acts and under special rules (s.21(2) and (3)), and in the following sections sets out some specific instances:

- where the seller has a voidable title;
- where a seller, having sold the goods to one buyer, still has the goods or documents of title in their possession and sells the goods to another buyer;
- where a buyer is in possession of goods after a sale by a seller who does not have good title, and then sells them on.

These are dealt with in ss.23, 24 and 25. Section 22 relates to 'market overt' which is no longer a part of the law of England & Wales. Where there is the actual consent of the owner (as referred to in s.21(1)), there is, of course, no problem. This is simply an example of the law of agency in operation (see Chapters 2 and 3 above). The same is true where the owner has allowed the impression to be gained that the seller is selling with their consent; this is dealt with in the chapters on agency, too, under apparent or ostensible authority. However, this is a good place to deal with the effects of s.2 of the Factors Act 1889. The other exceptions we will deal with in turn afterwards.

'*Nemo dat quod non habet*' is the common law rule. The exclusions are all statutory and are based on either the interests of justice, protection of the innocent or commercial convenience.

4.1 Section 2 Factors Act 1889

We are not going to go into much detail about this. It is really just a statutory extension of ordinary rules of agency that we have already covered in earlier chapters. The need for this statutory provision really arose not from situations of sale so much as of pledging goods or documents of title as security, which would not have been covered by the common law. That would be a problem in the context of international trade, where agents in England needed to be able to make dispositions of goods (or documents representing the goods) to secure payment (see Chapter 16 on bills of lading to help you understand this). Section 2(1) provides that:

> Where a mercantile agent is, with the consent of the owner, in possession of goods or of the documents of title to goods, any sale, pledge, or other disposition of the goods, made by him when acting in the ordinary course of business of a mercantile agent, shall, subject to the provisions of this Act, be as valid as if he were expressly authorised by the owner of the goods to make the same; provided that the person taking under the disposition acts in good faith, and has not at the time of the disposition notice that the person making the disposition has not authority to make the same.

Put into bullet points:

- whenever a 'mercantile agent'[1] sells or otherwise makes a disposition of (for example, a pledge) goods (or documents of title representing goods);
- and the agent is in possession of the goods with the consent of the owner;
- and the buyer/pledgee etc takes the goods acting in good faith without notice of the agent's lack of authority;
- the transaction is as valid as if the agent had express authority of the owner to make that disposition;
- provided that the agent is acting in the ordinary course of business.

4.2 Seller Has a Voidable Title (s.23 SGA 1979)

The first thing to note is that we are talking about a *voidable* title, not a *void* title. You will probably remember from contract law the case of *Ingram v. Little* [1961] 1 QB 31. In this

[1] Anyone whose business involves customarily acting as an agent for others – not dissimilar, though not identical to, a 'commercial agent' (see Chapter 3) – see s.1(1) Factors Act 1889 and s.26 SGA 1979.

case, the Court of Appeal had to decide whether the two ladies selling a car to a rogue had made a mistake as to 'quality' (that is, that this was a creditworthy person, whose cheque they could safely accept while letting him drive away in their car), or one of 'identity', which is to say that they intended only to deal with Mr PGM Hutchinson of Stanstead House, Stanstead Road, Caterham, Surrey. Had they only made a mistake as to quality, this would not have affected the validity of the transaction, and the used car dealer in Blackpool to whom the rogue subsequently sold the car would have obtained a good title. If, on the other hand, they had made a mistake as to identity, the original sale to the rogue would be void and he would have no title to pass on to the dealer, who would therefore find himself on the wrong end of the nemo dat rule. The court held that it was a mistake as to identity, and the unfortunate dealer (who had already sold the car on) had to compensate the ladies. An obvious example of a *voidable* contract, on the other hand, would be where, in the transaction between the seller and whoever sold the goods to them, there was an actionable misrepresentation. You will remember from your study of contracts that while the 'normal' (though by no means the most common!) remedy for misrepresentation is rescission, one cause for rescission being unavailable is that third-party rights have arisen, as under this section.

Section 23 provides: 'When the seller of goods has a voidable title to them, but his title has not been avoided at the time of the sale, the buyer acquires a good title to the goods, provided he buys them in good faith and without notice of the seller's defect of title.' Those of you who have already studied Equity will recognize something of the character of 'Equity's darling', the purchaser in good faith for value without notice. There is no mention of value in the section. Since a sale must be for a money (or part money) consideration, there would necessarily be some degree of purchasing for value, though it need not be an adequate value, of course. And in the case of the exceptions to nemo dat, 'without notice' means without **actual** notice. The concept of 'constructive notice' – whereby a party *ought* to make enquiries – does not apply here: it was held in *Feuer Leather Corp v. Frank Johnston & Sons Ltd* (1981) Com LR 251 that there was 'no general duty on a buyer of goods in an ordinary commercial transaction to inquire of the seller's right to dispose of goods'.

So, to summarize: if the seller has a voidable title and that title has not been voided, he can pass a good title to a buyer who purchases in good faith and without notice of the fact that the seller only has a voidable title.

4.3 Seller in Possession

This exception to nemo dat covers the case where a person has sold goods (not just *agreed to sell* them), but has not parted with possession of them, and then sells them (or pledges them, or whatever, see below) again. The exception is set out in statute in s.24 SGA 1979, but also in s.8 of the Factors Act 1889. The wording of s.8 is a bit wider than that of s.24 and s.8 has not been repealed, so, rather strangely, we are best off looking at the earlier Act. We say 'strangely' because, as the authors of *Atiyah's Sale of Goods* observe:

> The omitted words in ss.24 and 25 are one of the oddities of the Sale of Goods Act. If Parliament thought that s.s.8 and 9 of the Factors Act where too wide, why did it

> not repeal them; and if it did not think they were too wide, why did it leave out these words?[2]

We will give the wording in the same way as *Atiyah*, that is to say we will show the wording of s.8 Factors Act 1889 with the words missing from s.24 SGA 1979 in square brackets, so you can clearly see the difference:

> Where a person, having sold goods, continues, or is, in possession of the goods or of the documents of title to the goods, the delivery or transfer by that person, or by a mercantile agent acting for him, of the goods or documents of title under any sale, pledge or other disposition thereof [**or under any agreement for sale, pledge or other disposition thereof**], to any person receiving the same in good faith and without notice of the previous sale, shall have the same effect as if the person making the delivery or transfer were expressly authorised by the owner of the goods to make the same.

We can see that this provision is in a way analogous to the one in s.2(1) Factors Act 1889, which we have already seen, protecting the buyer in good faith and without notice. A very obvious and important difference, though, is that in this case there is no requirement for anyone to be acting 'in the ordinary course of business'. The application of the section is quite straightforward, though this was not always so. There is a line of authority suggesting that the person who sold the goods must have held the goods 'as seller', so not, for instance, as a bailee. But this has been put to bed by the Court of Appeal in *Worcester Works Finance Ltd v. Cooden Engineering Co Ltd* [1972] 1 QB 210. The section means what it says. *Worcester Works Finance* also clarified that 'other disposition', although it has a broad meaning, did not include a mere transfer of possession: there had to be some transfer of an interest in the goods, such as a pledge or mortgage.

4.4 Buyer in Possession (s.25(1) SGA 1979)

There is an equivalent exception in the case where the buyer of goods resells them without telling the new buyer about any rights that the original seller might still have in the goods. Once again, the Factors Act 1889 contains a slightly more broadly worded version than that of the SGA 1979, including cases where possession of the goods has been obtained under any agreement for sale, a pledge or any other disposition. This exception applies wherever by any kind of agreement or disposition, someone who has bought goods, or even just *agreed to buy them*, has possession of them with the consent of the seller. The way it works is to treat the subsequent disposition as if it had been made by a mercantile agent, so that a buyer in good faith without notice of the limits on the title of the goods gets a good title. There is a difficulty, though: under s.2(1) Factors Act 1889, the buyer only gets a good title from the mercantile agent if the latter is acting 'in the ordinary course of business' (see above, section 4.1 of this chapter). What, then, if the buyer in possession who then sells on is not actually a mercantile

[2] PS Atiyah, JN Adams and H MacQueen, *Atiyah's Sale of Goods* (12th edn, Longman 2010), p.384, n.125.

agent? How can s/he act in the ordinary course of business as a mercantile agent? In *Newtons of Wembley Ltd v. Williams* [1965] 1 QB 560 at 578, Pearson LJ remarked that this 'seems on the face of it to be an impossible position'. The problem is solved by adopting Buckley LJ's view in *Oppenheimer v. Attenborough & Son* [1908] 1 KB 221 at 230–1 that one should imagine the buyer in possession was a mercantile agent and ask whether the disposition they make would – had they been a mercantile agent – be in the ordinary course of business of a mercantile agent.[3] Buckley LJ's solution does seem to be the only sensible one, frankly.

One final point to note under this heading is that the 'delivery or transfer' does not have to be physical, but does involve some voluntary act being performed: *The Saetta* [1994] 1 All ER 851.

4.5 Special Cases

There are a couple of other areas where there are exceptions to the nemo dat rule. We are not going to deal with these in detail. In one case, that of 'market overt' (where goods sold in certain markets came with good title irrespective of where they had come from), the rule has been abolished. Another case, concerning hire purchase agreements (governed by the Consumer Credit Act 1974), essentially is only of interest in consumer cases, and we have chosen to restrict this book essentially to B2B transactions. Finally, there is the sale of goods, usually at auction, that have been seized under the authority of the court. This is a whole different area, best studied in the context of civil procedure.

You ought now to be able to explain the exceptions to the 'nemo dat' rule

[3] This Pearson LJ is the same judge as the Pearson J we encountered above, deciding *Carlos Federspiel v. Twigg,* apparently failing to notice the significance there that the sale was FOB and that therefore the matter of labelling was a complete red herring. Sir Colin Pearson (later Lord Pearson) seems regularly to have found himself somewhat flummoxed by the apparent complexities of the law, bless his little ermine cuffs, though he was a fine, prize-winning classicist at Balliol College, Oxford and won an important scholarship from the Inner Temple – it just goes to show… (He also did some important inquiries for HM Government, which ignored his eccentric conclusions. He was, on the other hand, by all accounts a very nice person, which is a good deal more important than being a great lawyer.)

7
Sale of goods IV: remedies

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ explain the remedies open to seller and buyer in sales of goods cases
- ✓ outline the nature and conditions for 'real' remedies in sales cases
- ✓ identify where rules in sales cases differ from the ordinary rules in relation to breaches of contract generally

1. INTRODUCTION

Sales and agreements to sell are *contracts*. Therefore, what you already know about damages, specific performance and injunctions from studying contract law is relevant to sales law, and we are not going to repeat it here. You might want to re-read, or revise your notes on, *Victoria Laundry (Windsor) Ltd v. Newman Industries Ltd* [1949] 2 KB 528, *Behnke v. Bede Shipping Co Ltd* [1927] 1 KB 649 and *Falcke v. Gray* (1859) 4 Drew 651. The buyer's right to reject for breach of condition, including the implied conditions already discussed, follows the same rules (except where covered by the Consumer Rights Act 2015) as any contracting party's right of election in the case of a breach of condition, so is not discussed here. (There is, of course, some discussion of this, relating to passing of property, in Chapter 6 above.)

In this chapter, we will outline aspects of remedies specifically relating to sales of goods, namely:

- action for the price;
- unpaid seller's lien;
- stoppage in transit;
- seller's right of resale;
- statutory rules on damages for non-delivery and damages for non-acceptance.

2. ACTION FOR THE PRICE

This is a remedy available to the seller where the buyer has wrongfully failed to accept the goods (see Chapter 5 above). In the event of the buyer's breach of duty in this respect, the

seller may either bring an action in damages or an action for the price. However, the action for the price is only available where property has passed (see Chapter 6 above):

> **s.49(1) SGA 1979:**
> Where, under a contract of sale, the property in the goods has passed to the buyer, and the buyer wrongfully neglects or refuses to pay for the goods according to the terms of the contract, the seller may maintain an action against him for the price of the goods.

If the property has not passed, then the seller just has the right to sue for damages for failure to accept and pay for the goods. Section 50(1) SGA 1979 provides: 'Where the buyer wrongfully neglects or refuses to accept and pay for the goods, the seller may maintain an action against him for damages for non-acceptance.'

Now, as we have seen above (Chapter 6), property may pass without the goods actually being delivered to the buyer. If the buyer is refusing to accept the goods even though property has already passed, the seller has a choice of actions: sue for the price under s.49(1) or sue for damages for non-acceptance under s.50(1). Usually the action for the price will be better for the seller, because they will not be obliged to attempt to mitigate their loss, for example by reselling the goods. However, it is quite easy to imagine circumstances where there might be consequential losses for the seller from the buyer's refusal to accept the goods, as where the goods were made specially to order for that buyer and have no value to anyone else and the seller is obliged to store or dispose of them. In this case, damages for non-acceptance may work out better.

There are three other matters to be borne in mind here. First, it may be that some wrongful action or inaction of the buyer is what has prevented property from passing from seller to buyer. What then? Can the seller sue for the price? The answer is 'no', unless for some reason the buyer is estopped from denying that property has passed. Second, s.49(2) provides an exception to the rule that property must have passed in order to bring an action for the price:

> Where, under a contract of sale, the price is payable on a day certain irrespective of delivery, and the buyer wrongfully neglects or refuses to pay such price, the seller may maintain an action for the price, although the property in the goods has not passed, and the goods have not been appropriated to the contract.

What amounts to a 'day certain'? It can either be a specified date, obviously, or it can be a day the parties can work out from the contract. For example, in *Workman Clark & Co Ltd v. Lloyd Brazileno* [1908] 1 KB 968 the seller was building a ship for the buyer. The contract specified instalment payments to be made at particular stages of construction, rather than on set dates. Since it was possible to tell when a stage of construction had been achieved, each of these was held to amount to a 'day certain', and the seller could sue for the amount due at that stage.

Finally, if the contract requires the price to be paid in a foreign currency, judgment can be given in that currency. If it subsequently becomes necessary to seek leave to enforce that judgment, the conversion into pounds sterling is made at that point, using the exchange rate

then prevailing: *Miliangos v. George Frank (Textiles) Ltd* [1976] AC 443 and Civil Procedure Rules Part 40, Practice Direction 40B.

3. UNPAID SELLER'S LIEN

A 'lien' is a right one person has over another person's property. There are all sorts of liens. Many of you will find it useful at some time in the future that a solicitor has a 'lien' over a client's papers until the bill has been paid! A repairer (for example, a garage) has a lien over the goods being repaired, and does not have to hand them over until payment is made. There are others. Here, we are concerned with the lien an unpaid seller has over goods sold to a buyer. This lien is purely statutory, so there is no corresponding equitable lien: *Transport & General Credit Corp Ltd v. Morgan* [1939] 2 All ER 17. Part V of the Act (comprising ss.38 to 48 inclusive) contains a complete scheme of seller's rights over the goods themselves, what are often called 'rights *in rem*' or 'real rights' (as opposed to personal rights or rights *in personam* – that is, damages). More precisely, it contains a scheme of 'unpaid seller's' rights, and it starts in s.38 with a definition of 'unpaid seller', who is a seller who has not been paid, or who has received conditional payment, such as a cheque or other negotiable instrument, but not actual payment – perhaps the cheque has been dishonoured (or 'bounced'). A seller's agent to whom a bill of lading has been endorsed (see Chapter 17) or who is responsible to the seller for all or part of the price of goods also counts as a seller in this context.

There is no magic in 'lien'. It is simply the right to hold on to the goods until paid. Under s.39(1)(a) the seller has this right 'notwithstanding that the property of the goods may have passed to the buyer', and under s.39(2) where property has not passed the seller has an equivalent right to hold the property until paid the price. One cannot really have a lien on goods that still belong to you, so the reference to notwithstanding in s.39(1)(a) might appear unnecessary. It must be taken to be there in order to make quite clear that, since no other seller's lien exists than that in the Act, the passing of property does not terminate the lien.

There are four ways in which the lien is terminated:

- the buyer pays or tenders payment – this means the seller is no longer an 'unpaid seller' under the definition in s.38;
- the seller delivers the goods to a carrier or other bailee in order that the goods be transmitted to the buyer, without reserving a right of disposal of the goods (s.43(1)(a));
- the buyer or an agent of the buyer *lawfully* obtains possession of the goods (s.43(1)(b));
- the buyer waives the lien.

The reason for s.43(1)(a) appears to be that under s.39(1)(b) a seller only has a right of stoppage in transit if the buyer becomes insolvent, so s.43(1)(a) makes clear that once the seller has parted with the goods by sending or arranging to send them to the buyer, he cannot exercise his lien on the goods where he would not have a right of stoppage under s.39(1)(b) – in other words, it prevents the creation of a loophole allowing a seller to get

round s.39(1)(b) and effectively stop the goods in transit in circumstances in which the Act did not intend the seller to have that right.

4. STOPPAGE IN TRANSIT

The unpaid seller's right to stop goods in transit to the buyer is set out in s.44 SGA 1979:

> Subject to this Act, when the buyer of goods becomes insolvent the unpaid seller who has parted with the possession of the goods has the right of stopping them in transit, that is to say, he may resume possession of the goods as long as they are in course of transit, and may retain them until payment or tender of the price.

There are therefore three requirements:

- the goods must be 'in transit' (obviously);
- the seller must be an 'unpaid seller' (as previously defined);
- the buyer must have become insolvent.

The obvious requirement of the goods being 'in transit' is the only remaining one which requires any explanation. Section 45(1) SGA 1979 says:

> Goods are deemed to be in course of transit from the time when they are delivered to a carrier or other bailee or custodier for the purpose of transmission to the buyer, until the buyer or his agent in that behalf takes delivery of them from the carrier or other bailee or custodier.

And s.45(7) provides:

> Where part delivery of the goods has been made to the buyer or his agent in that behalf, the remainder of the goods may be stopped in transit, unless such part delivery has been made under such circumstances as to show an agreement to give up possession of the whole of the goods.

And under s.45(4):

> If the goods are rejected by the buyer, and the carrier or other bailee or custodier continues in possession of them, the transit is not deemed to be at an end, even if the seller has refused to receive them back.

However, the transit will be brought to an end in the following circumstances:

- the buyer or his agent obtains delivery of the goods, even if that is before they reach the 'appointed destination' (s.45(2));

- the carrier or other bailee or custodier wrongfully refuses to deliver the goods to the buyer or his agent in that behalf (s.45(6));
- after the arrival of the goods at the appointed destination, the carrier or other bailee or custodier acknowledges to the buyer or his agent that he holds the goods on his behalf and continues in possession of them as bailee or custodier for the buyer or his agent (s.45(3)).

The final point to note is that if some of the goods have been delivered, that does not stop the seller stopping remaining, as yet undelivered, goods in transit: s.45(7). But this subsection allows for the circumstance where the circumstances of that part delivery show that the seller had agreed to give up possession of the whole of the goods.

5. RIGHT OF RESALE

We have already seen in Chapter 6 that there are circumstances where a seller *in possession* of goods can sell them all over again and pass a good title to someone else, under s.8 Factors Act and the slightly narrower s.24 SGA 1979. But s.48(2) of SGA 1979 also allows an unpaid seller to resell the goods if the seller has exercised his lien or else his right of stoppage in transit. This gives the new buyer a good title as against the original buyer, but not necessarily a title good against the world as under the other statutory provisions, as we discussed in our section on nemo dat.

6. DAMAGES FOR NON-DELIVERY AND NON-ACCEPTANCE

If property has not passed, the seller's remedy is in an action for damages. Likewise, if the seller has failed to deliver the goods in accordance with the contract, the buyer has an action for damages. The seller is suing the buyer for breach of the buyer's contractual duty to 'accept and pay' (see Chapter 5 above); the buyer's action is for breach of the seller's contractual duty to deliver (in the sense of making a voluntary transfer of possession to the buyer). Clearly, the buyer may also have actions against the seller for any other breach of contract, as set out in Chapter 5.

These actions are really the same as any other action for breach of contract. The seller, when confined to an action for damages, is under the same duty of mitigating losses as any other claimant under a contract (which is why the action for the price is so attractive, when available). However, there are a couple of 'tweaks' applicable in sale of goods cases. For a buyer's breach of contract, we have to refer to s.50(2) SGA 1979:

> The measure of damages is the estimated loss directly and naturally resulting, in the ordinary course of events, from the buyer's breach of contract.

This has to be read in conjunction with s.50(3):

> Where there is an available market for the goods in question the measure of damages is prima facie to be ascertained by the difference between the contract price and the market or current price at the time or times when the goods ought to have been accepted or (if no time was fixed for acceptance) at the time of the refusal to accept.

There is very little authority on what an 'available market' means. In *Dunkirk Colliery Ltd v. Lever* (1878) 9 Ch D 20 at 25, James LJ said that a market means somewhere that goods can be sold; this is clearly not what is meant in s.50(3). In fairness to James LJ, he was not interpreting the Sale of Goods Act, the first version of which was not passed until 1893. However, this unfortunate dictum was felt by Upjohn J to be binding on him in the case of *W L Thompson Ltd v. Robinson (Gunmakers) Ltd* [1955] Ch 177. This case involved non-acceptance of a car. The sellers sued for their loss of profit on the sale. The particular difficulty of the case was that there were too many of this particular model available for sale in the area, so the sellers had no hope of selling it on to someone else. As there were fixed retail prices in those days, the market price was necessarily the same as the contract price, so the buyer argued that the seller was only entitled to nominal damages. The natural way to get around this problem is to say that there was no 'available market' in the ordinary sense in which we mean that term; that is, willing buyers creating demand or, as we often say, 'a market' for the goods. It seems extremely likely that this was the sense intended by Sir Mackenzie Chalmers when he drafted the 1893 Act. But because of the James LJ dictum, Upjohn J felt that he could not take that approach. However, he avoided the problem by latching on to the words 'prima facie', and held that this was not the right approach in this particular case. Since the Resale Prices Act 1964, the problem of fixed retail prices has been largely removed, so that today there is likely to be a 'market price' out there. If the seller resells the goods at the best price he can get, then that will be the market price for the purpose of assessing damages. Otherwise, an average of advertised prices at the relevant time can be taken. We then find the difference between that price and the contract price to give us the figure for damages.

Where the boot is on the other foot, so to speak, and it is the seller in breach by failing to deliver, s.51 defines the buyer's right to damages for non-delivery in corresponding terms, with subsection (3) reading:

> Where there is an available market for the goods in question the measure of damages is prima facie to be ascertained by the difference between the contract price and the market or current price of the goods at the time or times when they ought to have been delivered or (if no time was fixed) at the time of the refusal to deliver.

This obviously raises the same theoretical problems as s.50(3), with the same solutions. Put shortly, the usual measure of damages for non-delivery is the difference between the contract price for the goods and the cost to the buyer of an available substitute.

You should now be able to:

- ✓ **explain the remedies open to seller and buyer in sales of goods cases**
- ✓ **outline the nature and conditions for 'real' remedies in sales cases**
- ✓ **identify where rules in sales cases differ from the ordinary rules in relation to breaches of contract generally**